

Valuation Report

Rural Property



“LMR” 166 Missingham Road, Dorrroughby, NSW 2480

As at
Prepared for
Borrower
Our Ref
Client Ref

26 August 2019
National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries
Discovery Macadamia Pty Ltd ACN 609 762 594 ATF Discovery Macadamia Unit Trust
JB1579114
ValEx ID: 12202794

This Valuation Report is prepared for the Lender named above and for first mortgage purposes only and is not to be used or relied upon by any other party for any other purpose. It is subject to the terms and conditions, disclaimers, qualifications and limitations contained in this Valuation Report, including the Third Party Disclaimer and Lender’s Customer Disclaimer.

Lismore

Herron Todd White (NAT Operations) Pty Ltd
ABN 96 632 595 692

Level 1, 105 Molesworth St
Lismore NSW 2480
PO Box 503
Lismore NSW 2480

Telephone 02 6621 8933
admin.nnc@htw.com.au
htw.com.au

LENDER'S CUSTOMER DISCLAIMER

1. Herron Todd White (HTW) does not authorise the disclosure of this Valuation Report by National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries (the Lender) to any unauthorised third party other than to their customer, borrower or guarantor (the Lender's Customer) who:
 - a. directly paid for or reimbursed the lender specifically for this Valuation Report; and
 - b. has acknowledged and agreed in writing, prior to receiving a copy of this Valuation Report, that HTW and the valuer has no liability to the Lender's Customer howsoever arising, including as a result of negligence.

Any use by the Lender's Customer is subject to the following warnings and terms of use.

2. The Lender instructed HTW to undertake a valuation of the subject property and prepare a Valuation Report for the Lender to rely upon when assessing the subject property's suitability for mortgage security purposes.
3. HTW prepared the Valuation Report in accordance with the Lender's instructions (Instructions). When preparing the Valuation Report and providing it to the Lender, HTW acted solely and exclusively for the Lender and owed no duty to advise the Lender's Customer or to consider their circumstances or position.
4. HTW is aware that the Lender may be subject to the Banking Code of Practice (Code) and is disclosing the Valuation Report to its customer to meet its obligations under the Code. Where the Valuation Report is disclosed to the Lender's Customer under the Code, or any other disclosure of this Valuation Report, a copy of the Instructions should also have been provided to the Lender's Customer. The Lender's Customer must contact the Lender if they have not been provided with a copy of the Instructions. The Valuation Report should be read in conjunction with the Instructions.
5. HTW has not assumed any duty to advise the Lender's Customer or to consider the Lender's Customer's circumstances or position by being aware that the Lender must meet its obligations under the Code and provide the Lender's Customer with a copy of the Valuation Report.
6. HTW has no liability to the Lender's Customer howsoever arising at law, including as a result of negligence. HTW did not prepare the Valuation Report for the Lender's Customer and therefore makes no representations nor assumes responsibility at all to the Lender's Customer.
7. The Lender's Customer should not rely in any way on the Valuation Report as its sole purpose is for use by the Lender in assessing the subject property for mortgage security purposes in the context of the Lender's Customer's loan application or extension. Specifically, the Lender's Customer should not rely upon the Valuation Report for the purpose of:
 - a. deciding whether or not to enter into a transaction or alter their financial position; or
 - b. seeking finance from a third party, and should seek their own advice and valuation in such circumstances.
8. The estimated insurance value, if included in the Valuation Report is an estimate of the cost to replace the property new and is based on construction costs at the date of valuation. The insurance value includes some, but not all, ancillary costs that may be encountered when rebuilding the property as detailed in the Valuation Report. The insurance value should not be relied on as a full and accurate estimation of the insurance value for the purposes of making a decision as to the level of insurance coverage that the Lender's Customer should maintain.
9. The contents of the Valuation Report are confidential and HTW does not authorise the disclosure of the Valuation Report by the Lender's Customer to any third party.
10. The Lender's Customer should take note of the date of valuation of the subject property and be aware that the Valuation Report is current at the date of valuation only. The market value of the property may change significantly over a short period of time.
11. The Lender's Customer should direct any questions relating to the Valuation Report to the Lender. HTW is unable to speak to the Lender's Customer directly due to privacy and confidentiality obligations owed to the Lender.



EXECUTIVE SUMMARY - MORTGAGE FINANCE VALUATION

INSTRUCTIONS

Property Address	"LMR" 166 Missingham Road, Dorroughby, NSW 2480.
Instructing Party	Paula Hilliard, National Australia Bank Limited.
Prepared For	National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries.
Date of Inspection	26 August 2019.
Date of Valuation	26 August 2019.
Borrower / Client Reference / Applicant	Discovery Macadamia Pty Ltd ACN 609 762 594 ATF Discovery Macadamia Unit Trust/ValEx ID: 12202794.
Basis of Assessment	The interest being valued is the market value of the: • unencumbered fee simple with vacant possession 'in use' including water licences and macadamia nut trees but excluding crop, mobile plant and equipment and net of GST. • unencumbered fee simple with vacant possession 'alternate use' including water licences but excluding macadamia nut trees, crop, mobile plant and equipment and net of GST. Our valuation has been prepared for first mortgage security purposes for use by National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries. It has been prepared in accordance with the current Australian Property Institute's Mortgage Valuation Practice Standards and National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries standard instructions.
Purpose of Valuation	First Mortgage Security Purposes Only. This valuation report is for the use of and may be relied upon only by the party/parties to whom it is addressed. No other parties are entitled to use or rely upon it and the valuer does not assume any liability or responsibility to any other party who does so rely upon the valuation without the express written authority of Herron Todd White (NAT Operations) Pty Ltd.
Definitions	Market Value The estimated amount for which an asset or liability should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion. Highest and Best Use The use of an asset that maximises its potential and that is physically possible, legally permissible and financially feasible. In Use An "in use" valuation includes all necessary fixed plant and equipment considered necessary to operate the property on its declared highest and best use basis. It is emphasised that an "in use" valuation is not assessed on a going concern basis (i.e. no business component or moveable plant is included). The approach simply reflects the fact that some farms rely on (and are normally sold with) certain items of fixed plant which enhance the property value, but are not legally regarded as part of the freehold.



Alternate Use

The alternate use value is one in the same as market value, however ignoring the existing use and adopting the highest and best alternate use of the property under the existing zoning and development constraints.

TITLE AND STATUTORY DETAILS

Real Property Description	Lot	Plan	Tenure	Title Ref.	Registered Owner	Area (ha)
	2	633794	Freehold	2/633794	Discovery Macadamia Pty Ltd	41.10
	3	583315	Freehold	3/583315	Discovery Macadamia Pty Ltd	26.01
	1	705780	Freehold	1/705780	Discovery Macadamia Pty Ltd	13.34
	5	705780	Freehold	5/705780	Discovery Macadamia Pty Ltd	35.30
	Total					115.75

Encumbrances

Title searches, dated 12 September 2019, have been carried out by Herron Todd White and are annexed to this report.

Second Schedule

Lot 5 DP705780

- 1 Reservations and conditions in the Crown Grant(s). A typical encumbrance, but we have not searched the Crown Grant(s) and assume nil adverse.
- 2 DP705780 Easement for water supply 3 wide affecting the part of the land above described shown so burdened in the title diagram. Burdens the land. WAL 198 & 199 are for irrigation on Lot 4 DP 705780 the adjoining land and we assume that the adjoining owner owns these WAL's.
- 3 3627208 Easement for transmission line affecting the part shown so burdened in DP267021.
AA430138 Easement now vested in Country Energy.
AI758460 Variation of easement 3627208 terms varied. Affects only a very small area of land near the south eastern boundary and it appears that the macadamia trees have been removed under the powerlines.
- 4 AK683986 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.

Lot 3 DP583315

- 1 Land excludes minerals and is subject to reservations and conditions in favour of the Crown - see Crown Grant(s). A typical encumbrance, but we have not searched the Crown Grant(s) and assume nil adverse.
- 2 DP546660 Right of carriageway appurtenant to the part of the land above described formerly CT Vol 11539 Fol 47. It is not apparent how this Right Of Carriageway impacts on this lot at all unless it benefits the land.
- 3 AK683986 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.



Lot 2 DP633794

- 1 Land excludes minerals and is subject to reservations and conditions in favour of the Crown - see Crown Grant(s). A typical encumbrance, but we have not searched the Crown Grant(s) and assume nil adverse.
- 2 DP546660 Right of carriageway appurtenant to the part(s) of the land shown so benefitted in the title diagram. Appears to burden the land over the access handle from Missingham Road.
- 3 V537241 Easement for water supply affecting the part of the land within described shown 3 metres wide and 5 metres wide in plan with V537241.
- 4 AK683986 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.

Lot 1 DP705780

- 1 Land excludes minerals and is subject to reservations and conditions in favour of the Crown - see Crown Grant(s). A typical encumbrance, but we have not searched the Crown Grant(s) and assume nil adverse.
- 2 DP608095 Easement for water supply affecting the part of the land above described shown so burdened in the title diagram. Burdens the land.
- 3 DP705780 Easement for water supply 3 wide affecting the part of the land above described shown so burdened in the title diagram. Burdens the land.
- 4 AK683986 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.

The above noted easements and encumbrances have not been individually searched nor a legal opinion obtained regarding their precise impact on the land.

This valuation is subject to there being no other easements and encumbrances, which may have an adverse effect on our valuation. Should any such easement or encumbrance become apparent, we reserve the right to review our valuation.

Water Rights

Licence Details	Domestic and Stock	Unregulated River
Reference No	30AL300347 WAL 196	30AL301706 WAL 10904
Registered Owner	Not searched	Not searched
Registered Parcels	L 1 DP 705780	L1 & L5 DP705780, L3 DP583315
Water Authority	Richmond River Area Unregulated, Regulated and Alluvial	Richmond River Area Unregulated, Regulated and Alluvial
Water System Type	Unregulated river	Unregulated river
Trading Zone	Coopers Creek Water Source. Lower Coopers Cree	Coopers Creek Water Source. Lower Coopers Cree
Annual Limit (ML)	1	99
Service Points	Pump	80 mm centrifugal pump, irrigation, farming, bywash dam



Licence Details	Unregulated River
Reference No	30AL300500 WAL 254
Registered Owner	Not searched
Registered Parcels	L3 DP633794
Water Authority	Richmond River Area Unregulated, Regulated and Alluvial
Water System Type	Unregulated river
Trading Zone	Coopers Creek Water Source. Lower Coopers Cree
Annual Limit (ML)	53
Service Points	50mm Centrifugal Pump, overshot dam

No water title/licence search has been undertaken or sighted. In the event that a title/licence search reveals any information or discrepancy which may affect the value of the property, the valuer's opinion should be obtained before reliance is placed on the valuation.

The trading rules of this water source are as follows:-

“Trading rules for the Upper Coopers Creek and Lower Coopers Creek Management Zones:-

INTO water source

Not permitted

WITHIN water source

No trading permitted into the Restricted Trading Zone located in the Upper Zone.

No trading into the Upper Zone.

Trading permitted from the Upper Zone to the Lower Zone.

No trading from tributaries to the main trunk of Coopers Creek.

Conversion to High Flow Access Licence

Not permitted

Conversion to Aquifer Access Licence

Permitted, subject to assessment.”

Trades that are permitted appear to be into the Coraki and Wyrallah Water Sources. We understand that there are significant water licences in the Coraki Water Source that are dormant.



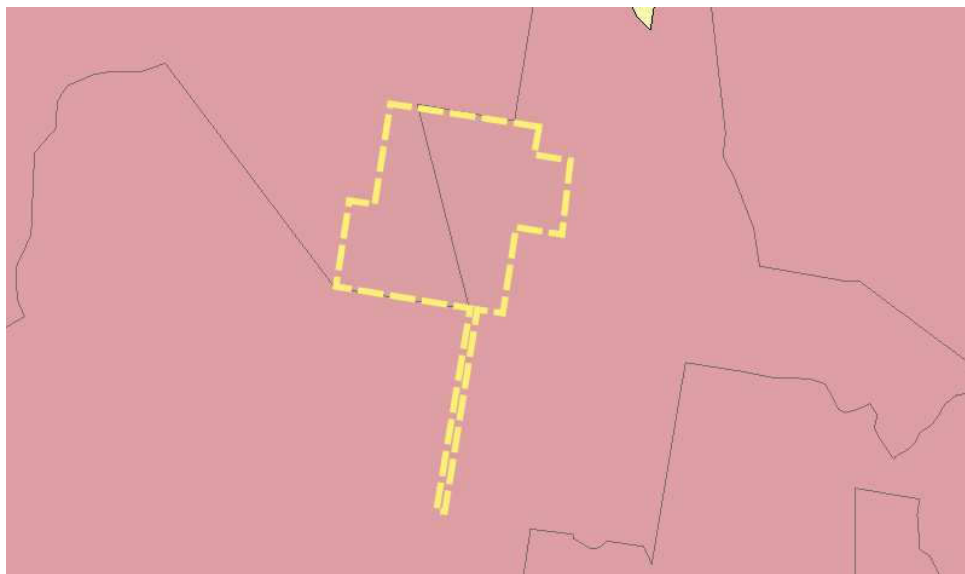
Local Authority

Lismore City Council.

Zoning

The property is designated RU1 Primary Production Zone according to the Lismore Local Environmental Plan 2012 (LEP) that took effect on and from 22 February 2013.

A dwelling is a permitted use under this zoning. The minimum subdivision area is part 20 ha and part 40 ha. The map below indicates only part of the land, Lot 2 DP 633794 which is 41.1 ha is regulated by the 40 ha lot size minimum area. The balance of the land is a minimum lot size of 20 ha. The balance lots are 74.65 ha in 3 lots. Only Lot 1 DP 705780 is less than 20 ha and it may have a dwelling entitlement as it appears to have been a Council approved subdivision. However a specific Dwelling Entitlement Search at Lismore City Council would be required for confirmation. In summary all lots appear to have a dwelling entitlement except for Lot 1 DP 705780 (Council search required to confirm).

Lot Size Map

Source: NSW Planning Portal

Macadamia nut tree farming is permitted without consent as 'Horticulture' as 'Intensive plant agriculture' under the LEP. LEP mapping indicates the subject property is affected in total by the Drinking Water Catchment Map. Farming may become more 'prescriptive' in these locations. Refer Annexures for a Rous County Council brochure in relation to macadamia nut tree farming in water catchments.

It should be noted that we have not sighted any town planning approvals for the subject property. Our valuation is based on the assumption that all of the improvements have been fully approved by the Council.

A Local Authority search has not been carried out and it is assumed the property is free of requisitions.



VALUATION SUMMARY

Property Description “As Is”

The subject property is located about 25 km north of Lismore at Dunoon. It is a 115.75 ha property comprising 4 lots on gently sloping to steeper land. The soil is mostly red basalt with some alluvial influences on the creek frontages. It is planted to a rain fed orchard with mapping and schedule provided by the owner stating 83.34 ha of orchard and 32,220 macadamia trees (Block 14 has been removed). Our calculations (refer Annexures) indicate approximately 88.1 ha and 35,041 trees. For the purpose of this valuation we have adopted the owner indicated orchard area and tree numbers.

The main varieties are 246, 344 and 800. These are ‘older’ varieties but remain popular, in particular 246 & 344. Row spacings are mostly very tight at 7 x 3.5 metres, and as a result there are shading problems in this orchard.

A small overshot dam, a moderate size bywash dam and water licences of 153 megalitres are also features of the property.

The macadamia orchard is reasonably well presented. The trees are up to 36 years old. Production figures supplied for the 2016 - 2018 harvests indicate yields in the range of 138.8 – 188.5 tonnes per annum nut in shell (NIS) @ 10 % moisture. This represents an average of 1.92 tonnes per hectare. This is lower than the 3 tonnes per hectare yields that many growers aim for. Shading will be contributing to these lower yields. There has been no kernel recovery data supplied, however the valuation assumes a reasonable industry level of kernel recovery. We understand that the crop is almost all exported directly to China for processing.

Structural improvements includes a modest cottage, machinery sheds, staff amenities & chemical shed.

The macadamia farm market is very strong on the NSW North Coast at present. There is limited recent evidence of sales in this value range.

All photographs in this report were taken by the Valuer on the date of inspection.

Last Sale

The last recorded sale was on 22 December 2015 for \$17,581,099. This amount is the gross value of the purchase of an amalgamation of four properties including the subject property in the Dunoon area. We have not been provided with a detailed apportionment of the purchase across the four properties, but some broad calculations and analysis indicate a value paid of about \$28,000/ha of mature orchard.

Values have increased since this sale. Of note in relation to increasing values of macadamia farms is Sale 8 in this report, 100A Lindendale Road, Lindendale which sold previously in May 2014 for \$1,450,000 (dwelling and pool constructed after the sale date). In 2014 this sale indicated an analysed value of \$37,121/ha of mature orchard. Five years later in May 2019 the analysis is \$72,597/ha of mature orchard (value increase \$35,476/ ha of mature orchard).



Market Value

Subject to the assumptions and qualifications contained within the body of this report, the market value of the subject property (exclusive of GST) as at the date of valuation, has been assessed at :-

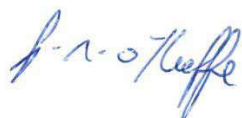
Valuation Assessment	
----------------------	--

"In Use"**Market Value "As Is"****\$5,600,000****(Five Million Six Hundred Thousand Dollars)**

Valuation Assessment	
----------------------	--

"Alternate Use"**Market Value "Alternate Use"****\$3,150,000****(Three Million One Hundred & Fifty Thousand Dollars)**

Our market value assessment is exclusive of any applicable GST.

Valuer

Paul O'Keeffe

AAP / Certified Practising Valuer
API NUMBER: 68133 - STATE
REGISTRATION NUMBER QLD: 3006


Patrick Lally

AAP / Certified Practising Valuer
Quality Assurance Manager
API NO: 68272

Important:

This valuation is for the use only of National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries to whom it is addressed and for no other purpose. No responsibility is extended to any third party who may use or rely on the whole or any part of the content of this valuation. No responsibility will be accepted for photocopied signatures.

The Counter Signatory, Patrick Lally, has reviewed the report and is satisfied that the opinion of value contained in the report has been reached based on reasonable grounds. For the avoidance of doubt, the Counter Signatory has not inspected the property and as such (under the API Professional Practice) cannot be an author of this report, and is confirming prima facie that the methodology used by the author of the report (the prime signatory) is sound.

This Valuation Report is prepared for the Lender named above and for first mortgage purposes only and is not to be used or relied upon by any other party for any other purpose. It is subject to the terms and conditions, disclaimers, qualifications and limitations contained in this Valuation Report, including the Third Party Disclaimer and Lender's Customer Disclaimer.



ASSUMPTIONS, CONDITIONS AND LIMITATIONS

Critical Assumptions

- This valuation report is provided subject to the assumptions, disclaimers, limitations and qualifications detailed within this report. Reliance on this report and extension of our liability is conditional upon the reader's acknowledgement and understanding of these statements.
- The property has been identified by cadastral mapping and the improvements appear to be within site boundaries. Please be advised that with regard to rural properties, it is often the case that encroachment of fencing occurs either way. It is however, not always practical to verify the status of boundaries due to the sheer size and scale of the properties and in most instances the impact on productivity, marketability or value is insignificant.
- The Valuer advises that the land classification as assessed in this report is derived from various forms of mapping, site inspection and verbal advice. The assessed land classification is at best an estimate and an accurate determination of land type/use can only be obtained by a site survey.
- All water entitlements referred to in this report are utilised on the subject property and form part of the overall assessment, notwithstanding that they are the personal property of the licensee and are not part of the real property.
- The water entitlements referred to in this report are unencumbered and will continue to be renewed on the same terms and conditions as the existing water entitlements.
- That production records supplied are accurate.
- That a reasonable industry level of kernel recovery is being produced.
- That orchard details supplied are accurate.
- Dwelling entitlement search at Council would be required to determine the dwelling entitlement status of Lot 1 DP 705780.

Financier Recommendations

- The subject property is considered to offer suitable security for first mortgage purposes.
- The Lender should satisfy itself, on legal advice, as to the adequacy of the security arrangements offered in respect of the water entitlements. In the event that such water licences are not available, have changed or do not form part of the security available, together with the real property, to be realised in a default situation, the value of the real property may be seriously and detrimentally affected.
- In the event that the lender is not satisfied with the security arrangements offered in respect of the water entitlements, the Valuer should be requested to provide a valuation of the real property on a stand alone basis.
- The water entitlements utilised on the subject property are an integral part of its on going market value. Any change in the water entitlements or licences referred to in this report will result in a potentially significant increase or decrease in the market value of the combined property/water entitlements. If water entitlements referred to in this report change this valuation should be referred to the Valuer for review.

Lender Specific Requirements

- This valuation has been prepared in accordance with NAB's Valuation Instructions and can be relied upon by National Australia Bank Limited ABN 12 004 044 937 for mortgage security purposes.
- All investigations have been conducted independently and without influence from a third party in any way.
- The valuer/firm (in addition to the principal valuer) has no Potential Conflict of Interest or Pecuniary Interest (real or perceived) relating to the subject property.



RISK PROFILE

Asset

- Located in a rural farming and lifestyle area 25 km north of Lismore which provides a full range of services.
- Soils on the property are considered good quality red basalt soils, slightly acidic, but are suitable for macadamia nut trees, and improved with applications of lime.
- This orchard does have some shading problems that cause yield reductions in some macadamia orchards. Shading can be overcome by selective limb removal or by removing entire rows.
- Average industry yields anecdotally are considered to be 3 tonnes per ha NIS @ 33% kernel recovery & 10% moisture. Over the past 3 years this has not reached that level of production.
- The lender should, if concerned, obtain specific horticultural advice on the orchard in respect to productivity.
- The subject property is partly impacted by LEP Drinking Water Catchment mapping. Farming may become more 'prescriptive' in these locations.
- Larger than normal macadamia farm for this locality.
- Rain fed orchard. The large dam and water licence are attractive features, particularly for alternate uses.

Overall Risk: Medium-High

Market

- Very limited listings of macadamia farms for sale and strong demand at present.
- Yields in the NSW macadamia industry had been below average from 2010 to 2013 due to adverse weather events i.e. storms and wind, overcast days, and possibly insect control and crop nutrition. The increase in the commodity price has resulted in improved management and production yields.
- Macadamia prices have firmed to \$5.40/kg NIS @ 10% moisture and 33% saleable kernel recovery which is a significant increase from the low of \$1.50/kg in 2007.
- The increase in the macadamia commodity price is partly attributed to strong Chinese demand. There are anecdotal reports of increased plantings in China, Vietnam and South Africa. It is beyond the scope of this report to determine the effect on the commodity price from increased world supply of macadamias. The China and Australia Free Trade Agreement (ChAFTA) has progressively reduced tariffs on macadamias since 2015. We understand as of 1 January 2019 the final 10% tariff has been eliminated.
- In 2019 the market for macadamia farms has firmed with good quality farms selling in a range up to and over \$100,000/ ha for mature orchard on the popular Alstonville plateau to the east. The Dunoon area typically has a lower value range per ha of mature orchard; the range is broadly \$40,000 - \$75,000/ha.
- Rural property values can fluctuate significantly depending on the relevant commodity price. This is a strong rural lifestyle locality, despite this if the commodity price drops and interest rates increase combined with a run of adverse seasonal conditions the market may become more volatile. The macadamia nut tree farm market has experienced notable increases in activity and price levels over recent times. We consider this strong market sentiment is being largely fuelled by the prevailing low interest rate environment and the strong commodity price. To this end, we caution that any uplift in interest rates and/or drop in the commodity price will likely reduce buyer demand (and potentially debt serviceability), which has historically corresponded to a reduction in value levels. We recommend this inherent market risk be considered in any lending decisions concerning the subject property.



-
- The subject property has been valued for NAB as part of a four property aggregation at Dunoon. These are larger than normal farms for the locality. If put to the market at the same time it is considered that corporate/institutional size purchasers would be the most likely buyer profile at this value level. A recent sale of a 644 ha macadamia orchard at Bundaberg demonstrates interest by this buyer profile in the macadamia industry.
 - The rain fed orchard and relatively reliable NSW North Coast rainfall may be attractive in the context of the drought in other locations in Australia.
-

Overall Risk: Medium-High

Environmental

- Macadamia farming involves spraying of trees from time to time. Spraying of trees can cause concerns in the community.
 - Segastus weevil, lace bug and other pests, fungus etc. can reduce yields and need to be managed effectively, typically with sprays.
 - Bushfire. Parts of the land are identified on overlay maps.
 - Adverse weather events and seasons can reduce yields.
 - Water catchment management requirements will likely impact on macadamia farm's cultural practices such as fertiliser and spray programs in the future.
-

Overall Risk: Medium



PROPERTY DESCRIPTION

LOCATION

Location

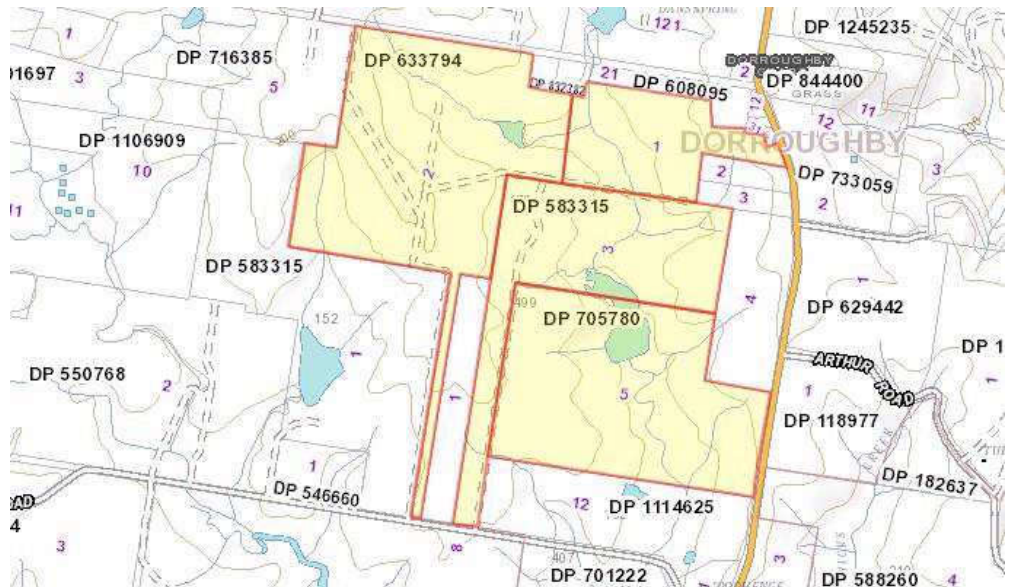
The subject property is located 25 km north of Lismore and 4 km north-east of the village of Dunoon

We have identified the property from the cadastral map attached and our site inspection.

Location Map



Cadastral Map



Source: Six Maps



Aerial Photo



Source: Six Maps

Surrounding Land Use

This is a rural lifestyle, rural grazing, horticulture area with varying quality property surrounding. Positive features include proximity to urban amenities and all-weather access.



THE LAND

Road System and Access

Missingham Road is a gravel typical country road. Access to the property is moderately difficult. The property also has frontage to Dorroughby Road a bitumen sealed road.

Services

Dam water, creek water, tank water, single phase power and septic system are connected to the property. Mobile coverage is available.

Property Characteristics

The property comprises 115.75 ha developed as a rain fed macadamia orchard.

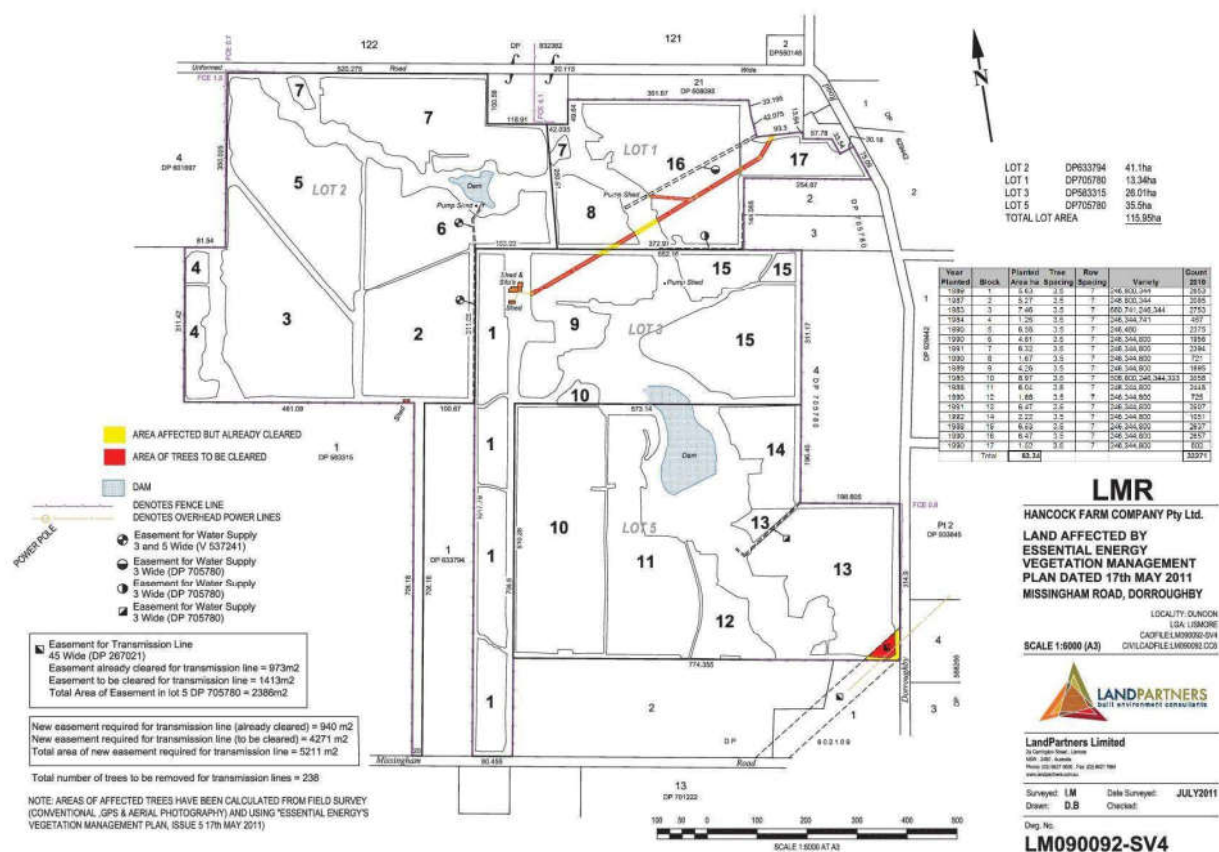
Topography	Bisected by Dans Creek, the land rises from below the 140 metre contour interval (Source: Dunoon Topographic Map NSW Department of Lands) to undulating slopes above the 200 metre contour interval. The land is gently sloping to steeper land. The land is bisected by Missingham Road. Dans Creek has a small overshoot dam and a moderate size bywash dam.
Soil	Red basalt. Soil test results provided indicated pH in the range of 4.9 to 5.0 which is more acidic than the preferred 6.5. The owners are implementing a lime program to address this issue.
Development	Developed as a macadamia farm. Macadamia trees are 27 – 36 years old. It is predominantly planted on 7 x 3.5 metre row spacings. These are very tight and shading is an issue. Blocks 1, 2 & 3 have had every second row removed, but we understand that yield results to date since the removal have not substantially improved. Block 14 has been removed entirely and will be replanted. The LMR Map supplied by the owner and included in this report has been adopted for orchard areas in this valuation. We have checked orchard areas with the EAC Red Square Mapping tool and the areas are broadly confirmed. It is planted to a rain fed orchard with mapping and schedule provided by the owner stating 83.34 ha of orchard and 32,220 macadamia trees (Block 14 has been removed). Our calculations indicate approximately 88.1 ha and 35,041 trees. Refer Annexures for a Property Plan and Orchard table. The owner-supplied mature orchard area and tree numbers have been adopted.
Vegetation	Limited except some trees on the creek line.
Grasses and Pasture	Limited grass in the tree inter rows. There is evidence of root exposure. The owners are considering selective limb removal and/or removal of entire rows to promote light. There has been composting undertaken to promote tree health.
Weeds	None significant noted.
Fertiliser History	We are advised that a normal agronomic programme is undertaken.



Country Classification

A break up of the country development is as follows:

Classification	Development	Area (ha)	%
Red Basalt	Macadamia planted land and macadamia trees	81.12	70.08
Red Basalt	Macadamia plantable land	2.22	1.92
Red Basalt	Balance area	32.41	28.00
Total		115.75	100.00



Irrigation

This is a rain fed orchard. There is an overshot dam on Lot 2 DP633794 and a moderate size bywash dam on Lot 3 DP 583315 and Lot 5 DP 705780 that are used to source water for spraying. The surface area of these dams is measured to be broadly 23,000 m². The depth is unknown, but if say 3 metres is adopted, a rough volume is 23,000 m² x 3 x 40 % = 27,600 m³. This equates to 27.6 megalitres. We caution that this is only a very 'broad' estimate and should be confirmed by survey if relied on. The purpose of the calculation is a guide for possible alternate uses for the land that would require water.

Fencing

The property is fenced into two main paddocks, although parts of the boundary are not fenced. This is not considered significantly adverse in this location as macadamia orchards are the dominant land use.

Rainfall

The Bureau of Meteorology rainfall mapping indicates that the property is located within an area with an annual rainfall range of between about 933 mm and 2196 mm for the past 10 years. The mean 'average' rainfall is 1,429 mm.

The nearest Bureau of Meteorology rainfall monitoring station is located at Corndale, approximately 10 km from the subject property. The below graph illustrates the annual rainfall for this locality.

Station: Corndale (Coopers Creek)				Number: 58206	Opened: 1991	Now: Open								Details
Lat: 28.72° S				Lon: 153.36° E		Elevation: 25 m								
Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Annual	
2009	148.0	207.0	252.0	241.0	388.0	154.0	31.0	2.0	17.0	140.0	107.0	151.0	1838.0	
2010	108.0	277.0	178.0	80.0	73.0	157.0	63.0	31.0	108.0	321.0	126.0	252.0	1774.0	
2011	232.0	38.0	126.0	264.0	62.0	101.0	34.0	165.0	18.0	104.0	115.0	186.0	1445.0	
2012	334.0	172.0	123.0	175.0	69.0	300.0	41.0	4.0	8.0	33.0	97.0			
2013	417.0	371.0	173.0	157.0	87.0	86.0	152.0	1.0	38.0	54.0	124.0	30.0	1690.0	
2014	52.0	25.0	200.0	58.0	45.0	40.0	11.0	259.0	16.0	9.0	64.0	154.0	933.0	
2015	123.0	260.0	78.0	106.0	205.0	54.0	52.0	27.0	75.0	33.0	115.0	43.0	1171.0	
2016		38.0			15.0	299.0	4.0	192.0		2.0	71.0	96.0		
2017	335.0	75.0	747.0	69.0	94.0	318.0	8.0	1.0	0.0	214.0	159.0	176.0	2196.0	
2018	120.0	204.0	199.0	104.0	33.0	42.0	25.0	42.0	79.0	225.0	76.0	34.0	1183.0	
2019	0.0			139.0	70.0	206.0	49.0	13.0						

Summary statistics for all years														Information about climate statistics
Statistic	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Annual	
Mean	200.2	172.4	193.6	129.3	90.4	139.8	45.3	63.5	45.2	96.0	113.6	121.1	1429.3	
Lowest	0.0	25.0	39.0	47.0	15.0	9.0	1.0	1.0	0.0	2.0	31.0	30.0	841.0	
5th %ile	10.2	32.7	50.2	56.3	18.6	11.7	3.7	1.0	4.8	7.1	59.0	33.4	910.0	
10th %ile	38.6	36.8	68.0	60.1	25.4	34.4	7.2	1.8	7.2	8.7	68.9	35.4	999.0	
Median	135.5	188.0	173.0	106.0	70.0	107.0	34.0	27.0	28.0	79.0	119.0	132.0	1387.0	
90th %ile	427.8	305.2	276.6	241.0	182.6	303.6	97.2	172.8	102.0	217.3	161.7	194.4	1880.5	
95th %ile	488.2	380.3	391.8	244.4	223.3	324.1	139.4	198.7	109.6	239.4	168.8	219.7	1991.2	
Highest	688.0	433.0	747.0	264.0	388.0	379.0	152.0	259.0	116.0	321.0	173.0	252.0	2196.0	

The property is subject to dry conditions at present.



Highest and Best Use

We consider the current use as a horticulture property to be consistent with the highest and best use of the land at this time.

The yields on LMR the subject property are relatively low by industry standards at 1.92 tonnes per ha. Most growers aim for 3 tonnes per ha NIS @ 10 % moisture. There have been no kernel recovery data supplied. We understand that the crop is almost all exported directly to China for processing. Kernel recovery is very important for the final per kg price paid. The valuation assumes yields provided are accurate.

Production	LMR			LDR1			LDR2			LRC		
	Tonnes NIS @ 10 % moisture	Tonnes/ ha	Kg/tree	Tonnes NIS @ 10 % moisture	Tonnes/ ha	Kg/tree	Tonnes NIS @ 10 % moisture	Tonnes/ ha	Kg/tree	Tonnes NIS @ 10 % moisture	Tonnes/ ha	Kg/tree
2016	187.50	2.25	5.64	176.00	1.82	10.03	193.20	1.70	9.50	233.30	2.39	6.12
2017	153.80	1.85	4.62	142.90	1.48	8.14	158.60	1.40	7.80	210.30	2.16	5.52
2018	138.80	1.67	4.17	181.10	1.87	10.32	196.90	1.74	9.68	199.20	2.04	5.22
Average	160.03	1.92	4.81	166.67	1.72	9.50	182.90	1.61	8.99	214.27	2.20	5.62
Aggregation												
2016	790.00	2.02	7.23									
2017	665.60	1.70	6.09									
2018	716.00	1.83	6.55									

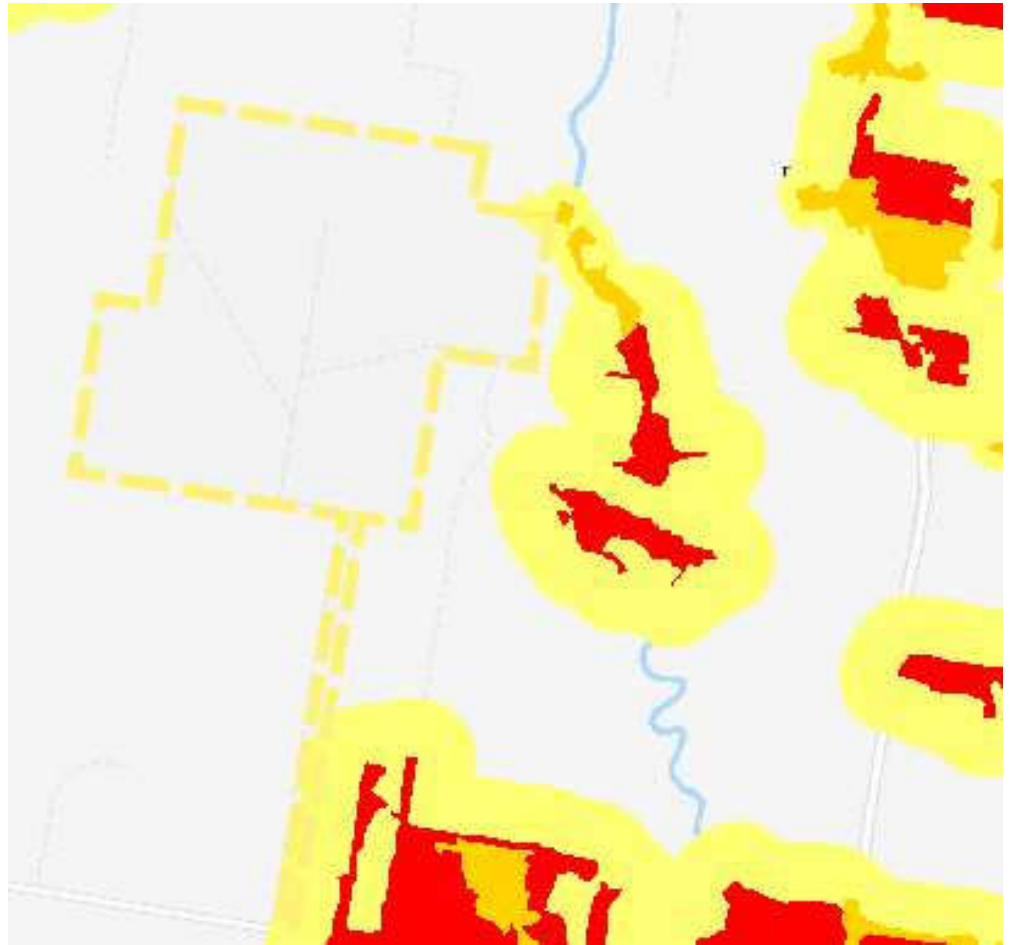


ENVIRONMENTAL STATEMENT

Site Issues	Any indication of previous noxious or potentially contaminating use?	No
	Subject to an environmental planning overlay that could constrain land use and development?	Yes, Drinking Water Catchment & Bushfire
	Adjoining land subject to an overlay that indicates adjoining land could be contaminated?	No
	Based on visual inspection to the extent that it is reasonably possible, are there adjoining sites that appear to or are known to have or have had noxious or potentially contaminating uses?	No
	Based on visual inspection and/or public record and to the extent that it is reasonably possible, is any known water (including ground and subsurface) contaminated in the surrounding land?	No
	Identified industrial processes onsite that involve the use of chemicals or hazardous materials?	No
	Identified past or present underground storage of fuels, chemicals or hazardous materials at the property?	No
	Included in the current register of contaminated sites?	No
	Do operations require environmental licensing, resource consent or equivalent?	No
	Site contamination evident?	No
	Environmental Register Searched?	Yes
	The current use of the property for rural uses may involve the storage of quantities of fuel and/or farm chemicals and/or spraying of pesticides/herbicides. The existence of such products on site may require the property to be registered on the Environmental Management Register. Whilst our visual site inspection did not indicate any existing or historic use of the site (so far as it is reasonably identifiable) for any hazardous or potentially contaminating processes or for the storage (either above or below ground) of any hazardous chemical substance, we are not environmental experts. Therefore we are unable to certify and confirm that there is no contamination of the property either beneath or above the surface of the soil or elsewhere which might affect value. We note that the subject property is subject to an Environmental Planning Overlay Drinking Water Catchment (all of the property) and Bushfire (parts see mapping below). The overlay is not considered to have a material impact on the value of the subject property at present but as noted farming is expected to become more 'prescriptive' in these locations.	



Bushfire Map (Source NSW Planning Portal).



Whilst the Valuer did not note any obvious hazardous or toxic material on site, it should be noted that the valuation has been prepared without the benefit of a soil test or environmental studies of any sort. Accordingly, the valuation is subject to there being no surface or sub-surface soil problems including instability, toxic or hazardous wastes or building material hazards in or on the property that would adversely affect its existing or potential use or reduce its marketability.

Refer to annexures for Contaminated Land/Environmental Management Registers search dated 13 September 2019. The subject property is not indicated as contaminated on this search.

**Vegetation
Management
Status**

We have valued the subject property on the basis that all relevant government approvals have been attained in relation to the property in particular to the development of the cultivation areas.



IMPROVEMENTS

Main Residence Dwelling (no inspection possible – notified to NAB post inspection)



Built About 1930.

Construction

Foundations:	Not sighted
Floor:	Timber
External Walls:	Timber
Internal Walls:	Timber
Ceilings:	Timber
Windows:	Aluminium, Timber
Roof:	Corrugated galvanised iron

Floor Area	Component	Square Metres
(approximate)	Living	82
	Outdoor	25
	Total	107

Floor Plan 2 bedrooms, 1 bathroom, kitchen, laundry and lounge/dining.

Fittings We are advised sink, electric stove, bath with shower over, basin, laundry tub.

Features None significant.

Condition/Repairs The building appeared to be in fair condition and no major defects were noted at the time of inspection. Internal paintwork is in understood to be in fair condition and external paintwork is in fair condition.

Valuers are not building and/or structural engineering experts and as such are unable to advise or comment upon the structural integrity or soundness in the improvements.

Car Space Nil.

Ancillary Improvements Septic tank & water tanks.



Other Improvements



Old dairy



Machinery shed



Chemical shed

Building	Area	Unit	Floor	Frame	Cladding	Roof	Cond.
Machinery shed including entrance height of 5.50 metres and electricity	221	sqm	Concrete	Steel	Metal cladding	Metal	Fair
Chemical shed including bunded floor	9	sqm	Concrete		Metal cladding, Rendered masonry	Metal	Good
Old dairy including electricity connected and water connected	60	sqm	Concrete	Timber	Timber cladding	Metal	Fair
Old Machinery shed	72	sqm	Earth	Steel	Colorbond cladding	Colorbond	Poor
Pump sheds	20	Sqm		Timber	Corrugated Metal	Corrugated Metal	Fair

Asbestos Materials

Could any buildings or improvements at the property predate 2004?

Yes

Is asbestos containing material known to be present?

Not aware

Asbestos register/record available?

No

As the improvements were constructed prior to 1 January 2004, State legislation stipulates that an 'Asbestos Register' must be prepared and kept at the workplace.

We advise that the inspection of the subject property did not reveal any obvious visible asbestos containing materials to the valuer. The valuer is not qualified to conclusively determine the existence of asbestos and will not be held liable nor responsible for his/her failure to identify any asbestos containing materials and the impact which any asbestos material has on the property and its value. Should any asbestos concerns become apparent, this report must not be relied upon and should be returned to the valuer for further comment and review.

The presence of asbestos, change in community attitudes and the cost associated with dealing with its removal has the potential to reduce marketability and value of the property. The extent of this cannot be known.

Compliance of Building Materials

We have not obtained a compliance certificate in relation to the building materials. This valuation report has been prepared with the assumption that the building materials used, as well as the application and installation of those materials, are compliant with the building design as well as Australia's regulatory requirements and codes.



PROPERTY MARKET OVERVIEW

Property Market Overview

The 2019 harvest price is \$5.40/kg at 33% saleable kernel recovery at 10% Moisture Content. This is an increase from the 2016 - 2018 harvest season prices were broadly \$5.20/kg for premium and commercial grade plus bonuses that were paid by some processors in 2018, MPC being the most prominent. The 2015 pricing was \$4.40/kg, 2014 \$3.50/kg and 2013 pricing \$3.00/kg for similar specifications. Increased Chinese demand is believed to have contributed to this price increase. There has been increased interest in purchasing macadamia farms as a result and firming in macadamia land value levels. It should be noted that prices were as low as about \$1.50/kg NIS in 2007. Anecdotal reports indicate substantial plantings have been undertaken in China and South Africa. It is beyond the scope of this report to predict future pricing.

The lender should note that relatively low interest rates and strong commodity prices are underpinning values at present. Despite this there are very few macadamia farms listed for sale in the Ballina, Lismore & Byron Shires which are the traditional macadamia growing areas on the NSW North Coast. Searches reveal very few macadamia farms listed for sale on the NSW Far North Coast. Supply of properties is tight and demand appears to be strong for macadamia farms. During 2017 & 2018 good quality farms on the Alstonville plateau to the east were selling broadly up to \$85,000/ha of mature orchard. In 2019 this has firmed to over \$100,000/ha of mature orchard for better quality farms on the Alstonville plateau. The Dunoon location has indicated lower value levels for macadamia farms. This is due to the superior lifestyle attributes and more coastal location of the Alstonville plateau, typically older macadamia farms at Dunoon and consequent typical closer row spacing's and lower productivity. Mature orchard values have been in the range of \$36,400 - \$75,480/ha in the Dunoon area.

Sales of macadamia farms above \$5,000,000 in value are limited locally. A dated sale was at 665 Newrybar Swamp Road, Newrybar. It sold for \$7,500,000 in June 2015 and comprised 124.53 ha with 94.62ha of macadamia orchard (22,924 trees). This sale indicated \$71,335/mature orchard ha. Production in 2014 was stated to be 242 tonnes NIS (about 2.5 tonnes/ha NIS). Sale 8 in this report, 100A Lindendale Road, Lindendale sold previously in May 2014 for \$1,450,000 (dwelling and pool constructed post this sale). In 2014 this sale indicated an analysed mature orchard value of \$37,121/ha. Five years later in May 2019 it is \$72,597/ha, an increase of \$35,476/ha.

A recent sale north of Bundaberg is a 1,018.53 ha property which has 644 ha of irrigated macadamia orchard. This orchard has old trees planted around 1986. Row spacings were 6 x 3.5 m but has been mostly converted to 12 x 3.5 m spacings. Details of the sale are confidential but have been considered to determine this valuation.

Alternate Use

The North Coast has strong lifestyle attributes. Macadamia farms typically are located in sought after lifestyle locations. The Dunoon area is less sought after than the Alstonville plateau but despite this Dunoon is located in relative close proximity to Lismore which has a population of over 27,000 people (at 2016 Census).

The subject property is relatively large and would have some attractions for subdivision with minimum lot sizes of 20 ha (possibly 6 lots). Alternative agricultural pursuits would include bananas (Sale 10 in this report was purchased for bananas) or other horticultural pursuits such as avocados, blueberries etc. We note that we have no frost advice and this can be critical for these alternative crops. As the subject property macadamia trees have not been significantly adversely affected by frost as far as we are aware then frost is assumed to be not be a significant constraint on an alternate use basis



VALUATION CONSIDERATIONS

MARKET EVIDENCE

Water Market Comments

Water historically has seldom been traded on the NSW North Coast, however, in more recent times there has been more trading.

Properties sold that have a water licence typically do not always separately apportion the value in a 'negotiation' sense. The water licence is usually sold with the land as one negotiated lump sum. The NSW North Coast river & creek licences are almost all unregulated (no major storage dams) and pumping restrictions can occur when the water is most needed for the river licences. Trades between Water Sources are very restricted. It appears that the subject water licence can only be sold, subject to assessment, in the Bangalow Area, Wyrallah and Coraki Water Sources.

Sales of unregulated river licences on the NSW North Coast in recent times include:

Cooper Creek - \$600/megalitre for 8 megalitres in 2018 and \$1,333.33/megalitre for .75/megalitre.

Alstonville - \$1,470/megalitre for 34 megalitres.

Nimbin area - \$2,000/megalitre for 77 megalitres for avocados and \$1,500/megalitre for 30 megalitres for pasture/cropping.

Clarence River - \$800 & \$1,250/megalitre for 110 & 205 megalitres respectively, both purchased by for high value permanent blueberry plantings. Some smaller trades in the Clarence River catchment of \$825/megalitre for 7 megalitres and \$800/megalitre for 14 megalitres in cropping/livestock locations.

There have been limited recent water licence sales in the Coopers Creek Water Source. For valuation purposes a value for a licence of this size is adopted at \$1,000/megalitre, although depending on marketing conditions and how marketed at sale a value of over \$1,000/megalitre may be possible, particularly if sold in smaller parts. Evidence of transfers above indicate that values over \$1,000/megalitre are possible.

Enquiries with selling agents indicate some demand currently locally for water licences following the very dry 2019 summer and the current dry conditions.



Sales Evidence

The most relevant sales identified in the area include:

‘Dunoon’ Sales

1. Address	Sale Date	Sale Price	Area (ha)	Improvements Value	Land Value/ha	
					Improved	Ex-Structures
548 Dorroughby Rd, Dorroughby NSW 2480	28/05/18	\$725,000	15.95	\$5,000	\$45,455	\$45,141
Land Description:	Good quality red basalt soils planted to 14.3 ha of macadamia nut trees (about 5,000 trees) on 7 x 4 m spacings. Producing about 40 tonnes of macadamias. Has a dwelling entitlement. High voltage powerlines over south-eastern corner.					
Improvements:	Shipping container and tank.					
Comments:	Purchase price					
	Less					
	Equipment					
	Improvements					
					\$5,000	\$5,000
						\$720,000
				Ha	\$/ha	
				1.62	\$20,000	\$32,400
				<u>14.30</u>	\$48,084	\$687,600
				15.95		
	Apportionment of tree value					
	Planted land & trees					
	Less					
	Land value ex. trees allow					
				14.3	\$35,000	\$500,500
	Trees					
				5,000	\$37.42	\$187,100
Comparison:	This sale is located nearby to the east. It was impacted negatively by the power lines and close row spacing's. The market has strengthened since this sale.					



4. Address	Sale Date	Sale Price	Area (ha)	Improvements Value	Land Value/ha																																																																																																										
					Improved	Ex-Structures																																																																																																									
'Kirkwood', 152 Missingham Rd, Dunoon NSW 2480	21/05/19	\$1,350,000	39.05	\$150,000	\$34,571	\$30,730																																																																																																									
Land Description:	Red basalt soils planted to 26.7 ha of macadamia nut trees (4,800), Varieties include 246, 741, H2, A4 and Greber hybrids. Spacings 10 x 5 metres. Historically has been about a 43 tonne/annum NIS orchard but this dropped to about 30 tonnes in 2019. This is one of the older orchards with tree ages believed to be 29 - 47 years old. Large dam and 143 megalitre water licence.																																																																																																														
Improvements:	Basic 4 bedroom dwelling, machinery shed, processing shed, silo, pump shed. Some plant & equipment 'thrown in'.																																																																																																														
Comments:	<table> <tr> <td>Purchase price</td><td></td><td></td><td></td><td></td><td></td><td>\$1,350,000</td></tr> <tr> <td>Less</td><td></td><td></td><td>Megalitres</td><td>\$/megalitre</td><td></td><td></td></tr> <tr> <td>Water Licence</td><td></td><td></td><td>143</td><td>\$800</td><td>\$114,400</td><td></td></tr> <tr> <td>Improvements</td><td></td><td></td><td></td><td></td><td><u>\$150,000</u></td><td><u>\$264,400</u></td></tr> <tr> <td></td><td></td><td></td><td></td><td></td><td></td><td>\$1,085,600</td></tr> <tr> <td></td><td></td><td></td><td>Ha</td><td>\$/ha</td><td></td><td></td></tr> <tr> <td>Non plantable land</td><td></td><td></td><td>12.35</td><td>\$10,000</td><td></td><td><u>\$123,500</u></td></tr> <tr> <td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Mature macadamia orchard</td><td></td><td></td><td><u>26.70</u></td><td>\$36,034</td><td></td><td>\$962,100</td></tr> <tr> <td></td><td></td><td></td><td>39.05</td><td></td><td></td><td></td></tr> <tr> <td>Apportionment of tree value</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Mature macadamia orchard</td><td></td><td></td><td></td><td></td><td></td><td>\$962,100</td></tr> <tr> <td>Less</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Land value incl water ex. trees allow</td><td></td><td></td><td>26.7</td><td>\$35,000</td><td></td><td><u>\$934,500</u></td></tr> <tr> <td>Trees</td><td></td><td></td><td>4,800</td><td>\$5.75</td><td></td><td>\$27,600</td></tr> </table>						Purchase price						\$1,350,000	Less			Megalitres	\$/megalitre			Water Licence			143	\$800	\$114,400		Improvements					<u>\$150,000</u>	<u>\$264,400</u>							\$1,085,600				Ha	\$/ha			Non plantable land			12.35	\$10,000		<u>\$123,500</u>								Mature macadamia orchard			<u>26.70</u>	\$36,034		\$962,100				39.05				Apportionment of tree value							Mature macadamia orchard						\$962,100	Less							Land value incl water ex. trees allow			26.7	\$35,000		<u>\$934,500</u>	Trees			4,800	\$5.75		\$27,600
Purchase price						\$1,350,000																																																																																																									
Less			Megalitres	\$/megalitre																																																																																																											
Water Licence			143	\$800	\$114,400																																																																																																										
Improvements					<u>\$150,000</u>	<u>\$264,400</u>																																																																																																									
						\$1,085,600																																																																																																									
			Ha	\$/ha																																																																																																											
Non plantable land			12.35	\$10,000		<u>\$123,500</u>																																																																																																									
Mature macadamia orchard			<u>26.70</u>	\$36,034		\$962,100																																																																																																									
			39.05																																																																																																												
Apportionment of tree value																																																																																																															
Mature macadamia orchard						\$962,100																																																																																																									
Less																																																																																																															
Land value incl water ex. trees allow			26.7	\$35,000		<u>\$934,500</u>																																																																																																									
Trees			4,800	\$5.75		\$27,600																																																																																																									
Comparison:	This sale is located nearby to the east. It was impacted negatively by low production, maintenance required and we understand an anxious sale.																																																																																																														



5. Address	Sale Date	Sale Price	Area (ha)	Improvements & plant Value	Land Value/ha																																																																																																			
					Improved	Ex-Structures																																																																																																		
206 Repentance Creek Rd, Rosebank NSW 2480	18/09/18	\$2,035,000	50.97	\$475,000	\$37,473	\$30,606																																																																																																		
Land Description:	The property comprises an above average size allotment in a well sought after rural lifestyle locality. The land is an undulating to moderately sloping rural holding which is developed into a macadamia plantation comprising approximately 4,064 macadamia trees (predominately mature) over a land area of approximately 16 ha. The balance land of approximately 35 ha is predominately-timbered gullies and steeper land except a small area of cleared grazing land and land immediately adjacent to the residence and work sheds. Macadamia trees are A4, A16, A38, 660, 246 (about 50 %), 741 & 816. Spacings 8 x 4, 7 x 7, & 10 x 4 m. Very well maintained farm. Average production last 4 years about 55 tonnes NIS @ 10 % moisture and about 34 % kernel recovery.																																																																																																							
Improvements:	The property includes an attractively renovated 3 bedroom log cabin home with 2 bathrooms double garage large outdoor living areas, inground pool, unapproved studio and two work sheds. The property is well improved and presented.																																																																																																							
Comments:	<table> <tr> <td>Purchase price</td><td></td><td></td><td></td><td></td><td></td><td>\$2,035,000</td></tr> <tr> <td>Less</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Plant</td><td></td><td></td><td></td><td></td><td></td><td>\$125,000</td></tr> <tr> <td>Improvements</td><td></td><td></td><td></td><td></td><td></td><td><u>\$350,000</u></td></tr> <tr> <td></td><td></td><td></td><td></td><td></td><td></td><td>\$1,560,000</td></tr> <tr> <td></td><td></td><td></td><td></td><td>Ha</td><td>\$/ha</td><td></td></tr> <tr> <td>Non planted land</td><td></td><td></td><td>34.93</td><td></td><td>\$10,000</td><td><u>\$349,300</u></td></tr> <tr> <td>Mature macadamia orchard</td><td></td><td></td><td>16.04</td><td></td><td>\$75,480</td><td>\$1,210,700</td></tr> <tr> <td></td><td></td><td></td><td><u>50.97</u></td><td></td><td></td><td></td></tr> <tr> <td>Apportionment of tree value</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Mature macadamia orchard</td><td></td><td></td><td></td><td></td><td></td><td>\$1,210,700</td></tr> <tr> <td>Less</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Land value ex. trees allow</td><td></td><td></td><td>16.04</td><td></td><td>\$45,000</td><td><u>\$721,800</u></td></tr> <tr> <td>Trees</td><td></td><td></td><td>4,064</td><td></td><td>\$120</td><td>\$488,900</td></tr> </table>						Purchase price						\$2,035,000	Less							Plant						\$125,000	Improvements						<u>\$350,000</u>							\$1,560,000					Ha	\$/ha		Non planted land			34.93		\$10,000	<u>\$349,300</u>	Mature macadamia orchard			16.04		\$75,480	\$1,210,700				<u>50.97</u>				Apportionment of tree value							Mature macadamia orchard						\$1,210,700	Less							Land value ex. trees allow			16.04		\$45,000	<u>\$721,800</u>	Trees			4,064		\$120	\$488,900
Purchase price						\$2,035,000																																																																																																		
Less																																																																																																								
Plant						\$125,000																																																																																																		
Improvements						<u>\$350,000</u>																																																																																																		
						\$1,560,000																																																																																																		
				Ha	\$/ha																																																																																																			
Non planted land			34.93		\$10,000	<u>\$349,300</u>																																																																																																		
Mature macadamia orchard			16.04		\$75,480	\$1,210,700																																																																																																		
			<u>50.97</u>																																																																																																					
Apportionment of tree value																																																																																																								
Mature macadamia orchard						\$1,210,700																																																																																																		
Less																																																																																																								
Land value ex. trees allow			16.04		\$45,000	<u>\$721,800</u>																																																																																																		
Trees			4,064		\$120	\$488,900																																																																																																		
Comparison:	Very well presented farm. Good production but particularly steep in parts. Of note for water licences is that the purchaser acquired a ground water licence post purchase of 5 megalitres for \$2,000/megalitre to formalise the use of a bore.																																																																																																							



'Alstonville' Sales

6. Address	Sale Date	Sale Price	Area (ha)	Improvements & crop Value	Land Value/ha incl water	
					Improved	Ex-Structures
177 Humpty Back Rd, McLeans Ridges NSW 2480	24/01/19	\$3,950,000	53.39	\$445,000	\$67,428	\$65,649
Land Description:	Red basalt in 3 lots, each with a dwelling entitlement, planted to 36.5 ha of macadamia nut trees. There are about 7,700 trees that are mostly 27 years old. Spacings from 7.5 x 4 m to 9.5 x 5.5 m mostly. Varieties mostly 246, 344, 741 and some 849, 508, 660, A4 and A38. Production about up to 92 tonnes average per annum for the last 3 years which indicates to 2.5 tonnes per ha yield.. The orchard is a little run down, phytophthora, and had achieved superior production in 2014 and 2015. Water licence of 179 megalitres and a dam.					
Improvements:	Machinery shed, dehusking shed with 'workers accommodation', dehusking line and 4 silos, pump shed.					
Comments:	Purchase price					
						\$3,950,000
	Less		Megalitres	\$/megalitre		
	Water Licence		179	\$800	\$143,200	
	Crop				\$350,000	
	Improvements				<u>\$95,000</u>	<u>\$588,200</u>
						\$3,361,800
			Ha	\$/ha		
	Non planted land		16.89	\$30,000		<u>\$506,700</u>
	Mature macadamia orchard		<u>36.50</u>	\$78,222		\$2,855,100
			53.39			
	Apportionment of tree value					
	Mature macadamia orchard					\$2,855,100
	Less					
	Land value incl water ex. trees allow		36.5	\$50,000		<u>\$1,825,000</u>
	Trees		7,700	\$133.78		\$1,030,100
Comparison:	Superior location but much smaller orchard.					



7. Address	Sale Date	Sale Price	Area (ha)	Improvements, crop & plant Value	Land Value/ha ex. crop & plant	
					Improved	Ex-Structures
39 Grays La, Rous NSW 2477	21/02/19	\$4,000,000	38.24	\$800,000	\$95,449	\$83,375
Land Description:	Gently sloping red basalt soil planted to about 10,000 macadamia nut trees. About 6,500 are 246, 660 and 741 on 8 x 4 m spacings, about 3,500 trees A38, 816 & 849 on 8 x 5 m spacings. Planted area 33.5 ha. Production 95 - 141 tonnes per annum (2.84 - 4.2 tonnes per ha NIS @ 10 % moisture). Powerlines along northern boundary. 203 megalitre irrigation licence from a well in the Alstonville Basalt Plateau Groundwater Source.					
Improvements:	Brick veneer & colorbond roof 4 bedroom, 2 bathroom dwelling, machinery shed, dehussing equipment & silos, nursery shade house.					
Comments:	Purchase price					\$4,000,000
	Less		Megalitres	\$/megalitre		
	Water Licence		203	\$1,500	\$304,500	
	Crop				\$300,000	
	Plant				\$50,000	
	Improvements				\$450,000	<u>\$1,104,500</u>
						\$2,895,500
			Ha	\$/ha		
	Non planted land		4.74	\$30,000		\$142,200
	Planted land & trees		<u>33.50</u>	\$82,188		\$2,753,300
			38.24			
	Apportionment of tree value					
	Mature macadamia orchard					\$2,753,300
	Less					
	Land value ex. trees allow			33.5	\$50,000	\$1,675,000
	Trees			10,000	\$107.83	\$1,078,300
Comparison:	Superior location and productivity, but much smaller orchard.					



8. Address	Sale Date	Sale Price	Area (ha)	Improvements Value	Land Value/ha	
					Improved	Ex-Structures
100A Lindendale Road, Lindendale NSW 2480	20/05/19	\$3,000,000	43.43	\$500,000	\$69,077	\$57,563
Land Description:	Rain fed 43.43 ha parcel of good quality red basalt soil planted to 33 ha of macadamia nut trees. There are stated to be 9,310 trees approximately 18 – 24 year old trees comprising 246, 741, 816, 842, 849, A4, A16, A38 and varieties on spacings of about 7 x 5 & 8 x 4 metres. Production has been fair only we understand. Small creek frontage. Production was understood to be about 45 tonnes NIS.					
Improvements:	Structural improvements include a new good quality 4 bedroom, 2 bathroom dwelling, pool, dehusking shed/flat, delivery hopper shed, machinery shed, chemical shed, green house, water tanks and sundry small sheds.					
Comments:	This sale included some plant & equipment and crop which we believe is in a separate contract.					
	Purchase price					\$3,000,000
	Less					
	Improvements					<u>\$500,000</u>
						\$2,500,000
				Ha	\$/ha	
	Non plantable land			10.43	\$10,000	<u>\$104,300</u>
	Mature macadamia orchard			<u>33.00</u>	\$72,597	\$2,395,700
				43.43		
	Apportionment of tree value					
	Mature macadamia orchard					\$2,395,700
	Less					
	Land value ex. trees allow			33	\$40,000	<u>\$1,320,000</u>
	Trees			9,310	\$115.54	\$1,075,700
Comparison:	Superior location and improvements. In 2014 this property sold for an analysed mature orchard value of \$37,121/ha. Five years later in May 2019 it is \$72,597/ha.					

9. Address	Sale Date	Sale Price	Area (ha)	Improvements & Plant Value	Land Value/ha ex. plant	
					Improved	Ex-Structures
50 Weis La, Rous	08/07/2019	\$2,125,000	21.33 ha	\$375,000	\$98,452	\$82,044
Land Description:	Undulating red basalt soils planted to 18.45 ha of macadamia nut trees, about 5,000 trees 18 - 30 years old, varieties A4, A16, 246, 344, A38, row spacings about 9 x 4 m. Production in the last 2 years affected by hailstorms and other issues, but the prior 3 years were in the range of 35 - 46 tonne NIS @ 10 % moisture with kernel recoveries in the range of 34 - 37 %.					
Improvements:	Renovated timber & corrugated metal 3 bedroom dwelling, inground pool and machinery shed.					
Comments:	Purchase price					\$2,125,000
	Less					
	Plant				\$25,000	
	Improvements				<u>\$350,000</u>	<u>\$375,000</u>
						\$1,750,000
				Ha	\$/ha	
	Non plantable land			2.88	\$30,000	<u>\$86,400</u>
	Mature macadamia orchard			<u>18.45</u>	\$90,168	1,663,600
				21.33		
	Apportionment of tree value					
	Mature macadamia orchard					\$1,663,600
	Less					
	Land value ex. trees allow			18.45	\$50,000	<u>\$922,500</u>
	Trees			5,000	\$148.22	\$741,100
Comparison:	Superior location but much smaller orchard.					



Alternate Use Sales

10. Address	Sale Date	Sale Price	Area (ha)	Improvements, Value	Land Value/ha	
					Improved	Ex-Structures
122 Fraser Rd, Dunoon	06/02/2019	\$1,240,000	38.39	\$220,000	\$32,300	\$26,569
Land Description:	North facing sloping red basalt soils. Elevation over the 210 metre contour to the 160 metre contour for cleared land and then timbered land falls to below 120 metre contour. One dam, no water licence. Used for cattle grazing but purchaser to plant bananas (existing large grower in Tweed Valley). About 800 macadamia trees. About 32 ha cleared land including the macadamias.					
Improvements:	Timber & corrugated metal 1900's 3 bedroom dwelling, machinery shed and cattle yards.					
Comments:	Site value \$1,020,000 – indicates \$29,878/ha for cleared land (6.39 ha @ \$10,000 timbered land).					
Comparison:	This sale indicates a land value on an alternate use basis.					

11. Address	Sale Date	Sale Price	Area (ha)	Improvement Value	Land Value/ha	
					Improved	Ex-Structures
135 Coopers Creek Rd, Upper Coopers Creek	02/07/18	\$1,100,000	40.710	\$500,000	\$27,020	\$14,738
Land Description:	Steep and slope land, about 18 ha cleared to light timber.					
Improvements:	3 x timber & corrugated metal dwellings & sheds.					
Comments:	Lifestyle land – site value \$600,000 – indicates \$27,025/ha for cleared land (22.71 ha @ \$5,000 timbered land).					
Comparison:	This sale indicates a land value on an alternate use basis.					

12. Address	Sale Date	Sale Price	Area (ha)	Improvements, Value	Land Value/ha	
					Improved	Ex-Structures
24 James St, Dunoon	10/10/2018	\$1,430,000	25.42	\$730,000	\$56,255	\$27,537
Land Description:	An irregular, battle-axe shaped parcel of land comprising predominantly easy to moderately undulating topography and steeper ridges with a building site which is naturally contoured and positioned on a well elevated plateau. The land is generally cleared apart from some areas of uncleared gully/sidling along the creek and pockets of rainforest towards the rear of the property. The land faces north, east, west with panoramic local rural & hinterland views and frontage to a creek which traverses the near centre of the property. Access to the property is easy and direct.					
Improvements:	A circa 1990's, single level, 5 bedroom, 3 bathroom, renovated, detached semi-modern dwelling with rendered brick walls, metal roof, verandahs/patios, 1 car attached carport and 1 car detached garage/workshop. Ancillary improvements include an a 500 metre, tree-lined asphalt driveway with a large white stone chip parking area near the house; boundary fencing of rural construction and an enclosed "house site" yard of mixed construction; steel vehicle gate, gravel/white stone chip & paved paths; extensive landscaping with retaining walls, established gardens and a variety of young fruit trees; metal clad machinery/store shed with concrete floor, metal frame, metal roof, roller doors; solar power system (10 kW), bore with pump and reticulated system; dam/s, rain water tanks, septic tank, built-in spa (with lid) to verandah with "pop-up" TV, steel stock yards. Includes a 5 mgl water licence. The property has good external condition, good internal condition and good presentation.					
Comments:	Site value - \$700,000 – indicates \$32,425/ha for cleared land (10 ha @ \$20,000 balance land).					
Comparison:	This Sale indicates land value on an alternate use basis.					



'IN USE'	Date	Purchase Price ex. crop & plant	Ha overall	\$/ha overall	Ha Orchard	\$/ha mature orchard	\$/ha plantable land	\$/ha non plantable land	\$/tree
Dunoon Sales									
Sale 1	May-18	\$725,000	15.95	\$45,455	14.30	\$48,084		\$20,000	\$37.42
Sale 2	Jul-18	\$1,000,000	21.28	\$46,992	11.50	\$62,800	\$40,000	\$10,000	\$114.00
Sale 3	Apr-19	\$1,000,000	39.52	\$25,304	15.00	\$41,073		\$7,500	\$22.78
Sale 4	May-19	\$1,350,000	39.05	\$34,571	26.70	\$36,034		\$10,000	\$5.75
Sale 5	Sep-18	\$1,910,000	50.97	\$37,473	16.04	\$75,480		\$10,000	\$120.00
Alstonville Sales									
Sale 6	Jan-19	\$3,600,000	53.39	\$67,428	36.50	\$78,222		\$30,000	\$133.78
Sale 7	Feb-19	\$3,650,000	38.24	\$95,450	33.50	\$82,188		\$30,000	\$107.83
Sale 8	May-19	\$3,000,000	43.43	\$69,077	33.00	\$72,597		\$10,000	\$115.54
Sale 9	Jul-19	\$2,100,000	21.33	\$98,453	18.45	\$90,168		\$10,000	\$148.22
Valuation		\$5,600,000	115.75	\$48,380	81.12	\$60,000		\$10,000	\$62.94
Alternate Use									
	Date	Purchase Price	Ha overall	\$/ha overall	Cleared land	Timbered land	\$/ha cleared land	\$/ha timbered land	
Sale 10	Feb-19	\$1,240,000	38.39	\$32,300	32.00	6.39	\$29,878	\$10,000	
Sale 11	Jul-18	\$1,100,000	40.71	\$27,020	18.00	22.71	\$27,025	\$5,000	
Sale 12	Oct-18	\$1,430,000	25.42	\$56,255	15.42	10	\$32,425	\$20,000	
Valuation		\$3,150,000	115.75	\$27,213	83.34	34.83	\$30,000	\$10,000	

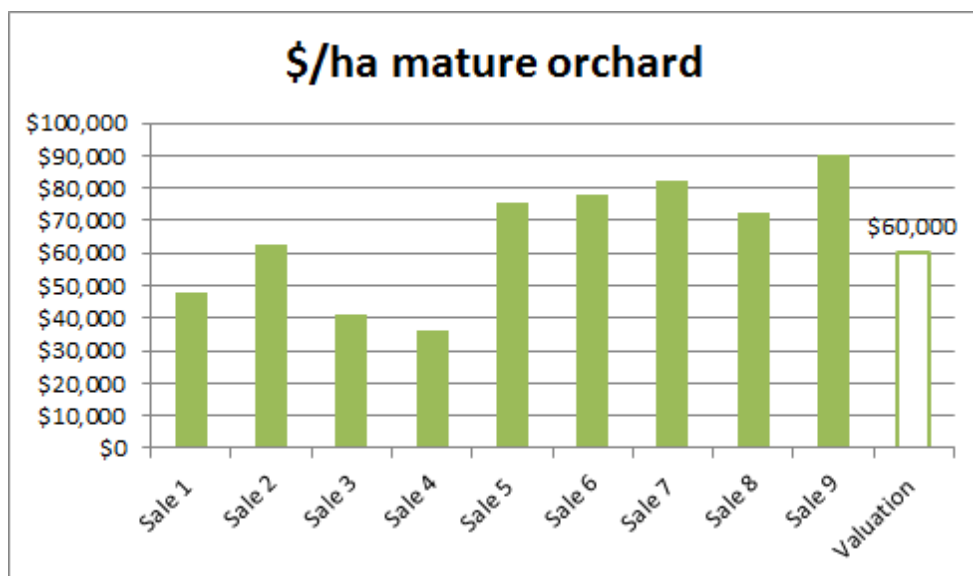


Sales Commentary

Evidence of recent sales of macadamia farms in the Dunoon locality indicates values in the range of \$36,034 - \$75,480/ha of mature orchard. Evidence of recent sales of macadamia farms in the Alstonville plateau area indicates values in the range of \$72,597 - \$90,168/ha of mature orchard (other sales held on file indicate up to \$105,667/ha).

Balance land area values are in the range of \$7,500 - \$30,000/ha.

A value of \$60,000/mature orchard ha, \$40,000/ha for the cleared land Block 14 ready for planting new macadamia trees, and \$10,000/ha for balance area has been adopted for valuation purposes for the subject property.



The value of \$60,000/ha of mature orchard has been adopted as the subject property has fair to reasonable production levels and is mostly gently sloping. There are some farm issues to address but this value level is still well below the values paid at Alstonville where farms with similar production levels per ha are selling for over \$90,000/ha of mature orchard for smaller farms. It is difficult to find a farm of this commercial size on the North Coast (other than the farms in the same ownership group). The recent sale of a large farm at Bundaberg supports value levels adopted.

The value of \$40,000/ha for the cleared land reflects the small area and that it is cultivated and near ready for planting.

The value of \$10,000/ha for balance land includes the dams.

A value of \$1,000/megalitre has been adopted for the water licence.

Alternate Use Basis

Evidence of sales indicates cleared land values in the range of \$27,025 - \$32,425/ha. rate per ha has been adopted for the summation method. The macadamia farm sales values per ha 'arable' land value ex. trees deduced have been considered. There is an additional sale under contract considered at 2466 Dunoon Road, Rosebank. It has reportedly sold for \$1,595,000 for 40.59 ha. It has a small area of macadamias and a water licence. Analysed cleared to light timber arable land value would be approximately \$36,000/ha.

Values adopted are \$30,000/ha for arable land value and \$10,000/ha for balance land.

A value of \$1,000/megalitre has been adopted for the water licence.



VALUATION RATIONALE – AS IS

Valuation Rationale

In assessing the market value of the subject property we have had regard to the following valuation approaches:

- Summation
- Direct Comparison

These approaches use land area on a per hectare basis as the underlying basis on which to determine value.

Selling Period

Our assessment of market value herein assumes an effective marketing campaign of up to six months.

Summation Approach

This approach allows the Valuer to assess the individual components of the property. The various rates applied to both land and buildings are taken from our analysis of sales.

When utilising this methodology the property is valued on a land classification basis on a rate per hectare. The value of the building improvements and irrigation entitlements are added to the land value. The derived valuation amount for the land, buildings and irrigation entitlements is obtained from comparable sales evidence. The land values are provided on a cleared, fenced and watered basis.

Our workings on this basis are shown below.

Land Assessment

Country Classification	Development	Area (ha)	Rate (\$/ha)	Value
Red Basalt	Macadamia planted land and macadamia trees	81.12	60,000	\$4,867,200
Red Basalt	Macadamia plantable land	2.22	40,000	\$88,800
Red Basalt	Balance area	32.41	10,000	\$324,100
Total Land Value		115.75	45,616	\$5,280,100
Added Value of Buildings				\$180,000
Total – Land and Buildings		115.75	47,172	\$5,460,100

Water Assessment

Type	Reference No	Volume (ML)	Rate (\$/ML)	Value
Domestic and Stock	30AL300347 WAL 196	1	1,000	\$1,000
Unregulated River	30AL301706 WAL 10904	99	1,000	\$99,000
Unregulated River	30AL300500 WAL 254	53	1,000	\$53,000
Total Irrigation Water Value				\$153,000
Combined value of Land, Irrigation Entitlements and Buildings				\$5,613,100
Rounded				\$5,600,000



Direct Comparison Approach

This approach takes into account that there are individual characteristics of the property including soil type, topography, rainfall, location, production capabilities, level of building improvements, water entitlements and infrastructure development in relation to water, fencing and pasture development.

When applying this approach, the reader needs to appreciate that this methodology requires subjective judgment by the Valuer to determine value. In circumstances where there are multiple land classifications, varying irrigation entitlement types and significant building improvements, the reliability of this approach is reduced.

Our working calculations are detailed in the table below:

Direct Comparison Valuation Assessment		Value
Land and Buildings	115.75 ha @ 45,000/ha	\$5,208,750
Water Entitlements		\$153,000
Total		\$5,361,750
Rounded		\$5,365,000

Valuation Conclusion

In our valuation assessment of the property we have relied on several approaches and they provide a range of values. We have placed greater reliance on the summation approach as we consider it provides the most accurate assessment on how the market determines value.

Valuation Summary		Value
Summation Approach		\$5,600,000
Direct Comparison Approach		\$5,365,000
Adopted Value		\$5,600,000
Apportionment of tree value		
Mature macadamia orchard		\$4,867,200
Less		
Land value ex. trees allow	81.12	\$35,000
Trees	32,220	\$62.94
		\$2,839,200
		\$2,028,000

Contract of Sale

We are not aware of any current contract of sale over the property.



VALUATION RATIONALE – ALTERNATE USE

Valuation Rationale

In assessing the market value of the subject property we have had regard to the following valuation approaches:

- Summation
- Direct Comparison

These approaches use land area on a per hectare basis as the underlying basis on which to determine value.

Selling Period

Our assessment of market value herein assumes an effective marketing campaign of up to six months.

Summation Approach

This approach allows the Valuer to assess the individual components of the property. The various rates applied to both land and buildings are taken from our analysis of sales.

When utilising this methodology the property is valued on a land classification basis on a rate per hectare. The value of the building improvements and irrigation entitlements are added to the land value. The derived valuation amount for the land, buildings and irrigation entitlements is obtained from comparable sales evidence. The land values are provided on a cleared, fenced and watered basis.

Our workings on this basis are shown below.

Land Assessment

Country Classification	Development	Area (ha)	Rate (\$/ha)	Value
Red Basalt	Arable land	81.12	30,000	\$2,433,600
Red Basalt	Arable land	2.22	30,000	\$66,600
Red Basalt	Balance area	32.41	10,000	\$324,100
Total Land Value		115.75	24,400	\$2,824,300
Added Value of Buildings				\$180,000
Total – Land and Buildings		115.75	25,955	\$3,004,300

Water Assessment

Type	Reference No	Volume (ML)	Rate (\$/ML)	Value
Domestic and Stock	30AL300347 WAL 196	1	1,000	\$1,000
Unregulated River	30AL301706 WAL 10904	99	1,000	\$99,000
Unregulated River	30AL300500 WAL 254	53	1,000	\$53,000
Total Irrigation Water Value				\$153,000
Combined value of Land, Irrigation Entitlements and Buildings				\$3,157,300
Rounded				\$3,150,000



Direct Comparison Approach

This approach takes into account that there are individual characteristics of the property including soil type, topography, rainfall, location, production capabilities, level of building improvements, water entitlements and infrastructure development in relation to water, fencing and pasture development.

When applying this approach, the reader needs to appreciate that this methodology requires subjective judgment by the Valuer to determine value. In circumstances where there are multiple land classifications, varying irrigation entitlement types and significant building improvements, the reliability of this approach is reduced.

Our working calculations are detailed in the table below:

Direct Comparison Valuation Assessment		Value
Land and Buildings	115.75 ha @ \$25,000/ha	\$2,893,750
Water Entitlements		\$153,000
Total		\$3,046,750
Rounded		\$3,050,000

Valuation Conclusion

In our valuation assessment of the property we have relied on several approaches and they provide a range of values. We have placed greater reliance on the summation approach as we consider it provides the most accurate assessment on how the market determines value.

Valuation Summary		Value
Summation Approach		\$3,150,000
Direct Comparison Approach		\$3,050,000
Adopted Value		\$3,150,000

INSURANCE ESTIMATE

Summary

In addition to providing a market value assessment for the subject property we have also been asked to provide our estimate of the likely cost of replacement of the buildings in the event they were destroyed.

Our calculations have been undertaken on the basis that the property was completely destroyed, the debris removed from the site and a new building of similar size and style erected in its place. Our assessment also reflects professional fees and an allowance for escalations over the insurance and reconstruction periods. On this basis the estimated costs of \$525,000 (exclusive of GST) would be required to replace the buildings. The Valuer is not a Quantity Surveyor or qualified in the field of building or construction and accordingly no professional liability is extended in this area. The above assessment is indicative only.

It should be noted that the above insurance assessment is exclusive of boundary and internal fencing, irrigation Infrastructure, including pump sheds, underground mains and above ground system.

A detailed assessment should be supplied by a Quantity Surveyor and/or Architect and any party relying on this report is recommended to seek appropriate advice of qualified parties.

A more detailed breakdown of individual improvement insurance values can be found at the end of the Annexures.



ANNEXURES

1. Instruction Letter
 2. Photographs
 3. Title Searches
 4. Property Plan
 5. Orchard Details
 6. Insurance Summary
 7. Manage Macadamia Farms – Fact Sheet
 8. NSW Rainfall Map
 9. NSW Contaminated Land Search
-



CERTIFICATIONS & QUALIFICATIONS

Accuracy of Information	We advise that any objective information, data or calculations set out in the Valuation Report will be accurate so far as is reasonably expected from a qualified and experienced valuer, reflecting due skill, care and diligence. However, we have not independently verified third party information, adopted it as our own, or accepted its reliability. If any of the information provided by others and referred to in the Valuation Report is incorrect, it may have an impact on the valuation. The valuation is provided on the proviso that the reliant party accepts this risk.
API Standards	This valuation has been prepared in accordance with the current Australian Property Institute's Valuation Practice Standards.
Boundary Fencing	It is not practical to identify all the boundaries of large area rural properties and it is often the case that encroachments of fences exist either way. In most instances this has limited to no effect on productivity, marketability or value. While there do not appear to be any major encroachments, valuers are not surveyors and no warranty can be given without the benefit of an identification survey.
Condition of Improvements	Whilst we have carried out a building inspection, we have not completed a detailed structural survey, verified the condition of the plant and machinery, tested any of the services or inspected unexposed or inaccessible portions of the building. We are therefore unable to state that these are free from defect, rot or infestation. We have viewed the general state of repair of the building and have assumed that the improvements are reasonably structurally sound considering their age.
Insurance Estimate	Our calculations have been undertaken on the basis that if the property were completely destroyed the debris would be removed from the site and a new building of similar size and style erected in its place. Any party relying on this advice must be aware that valuers are not quantity surveyors or qualified in the field of building or construction and accordingly we cannot extend any professional liability in this area and recommend properly qualified advice is sought. Should you require a precise estimate, this should be supplied by a quantity surveyor and/or architect.
Chemical Residue	The valuation assumes the property to have clear chemical residue status. If this is not the case and there is a cost to rectify, such may affect marketability and value and the valuation should be returned for reconsideration or reassessment.
Conflict of Interest	Neither the valuer, nor to the best of their knowledge, any member of this firm, has any conflict of interest, or direct, indirect or financial interest in relation to this property that is not disclosed herein.
Encroachments	We have physically identified the boundaries upon inspection and there do not appear to be any encroachments. However, we are not surveyors and no warranty can be given without the benefit of an identification survey.
Excluded Searches	The following searches have not been undertaken: Flood, Land Survey Plan and Contaminated Land Register. Our valuation assumes such searches would identify no issues that may affect the value and/or liquidity of the property. Should any person relying on the contents of this report be aware or become aware of an issue that may affect value and/or liquidity then the searches should be referred to the Valuer for comment.
First Mortgage	This valuation is provided on the basis that it may be used for assessing and providing first mortgage over the asset. We do not accept liability for losses arising from the assessment and/or provision of non-first mortgages.
Goods and Services Tax (GST)	We stress we are not experts in assessment of GST. We are not privy to the financial circumstances of the owner(s), any agreements executed (or to be executed) between the parties or the previous transactions relating to the property which may impact upon the status of the property for GST. We recommend any party relying upon this valuation seek independent advice in regard to any GST liabilities which may attach to the property.
Land not Affected	Unless identified within the body of this report, we assume, the land is not affected by unstable, hazardous, or toxic soil material; however, no professional expert advice has been sought in this regard. This valuation assumes that there are no problems, however, should any such issues arise; then this matter should be referred to the Valuer for further comment.
Limited Liability	Liability limited by a scheme approved under professional standards legislation.
Market Movement	This valuation is current as at the date of valuation only. The value assessed herein may change significantly and unexpectedly over a relatively short period (including as a result of general market movements or factors specific to the particular property). We do not accept liability for losses arising from such subsequent changes in value. Without limiting the generality of the above comment, we do not assume any responsibility or accept any liability where this valuation is relied upon after the expiration of 90 days from the date of the valuation, or such earlier date if you become aware of any factors that have any effect on the valuation. However, it should be recognised that the 90 day reliance period does not guarantee the value for that period; it always remains a valuation at the date of valuation only.
Native Title	The title searches for the subject property indicate that tenure to the subject property is freehold and, as such, it is likely that any native title claim over the subject property has been extinguished.
No Compliance Certificate	No Compliance Certificate/Certificate of Classification has been obtained. This valuation is subject to the building(s) complying in all material respects with any restrictive covenants affecting the site. Furthermore, it is assumed that the site improvements have been built, occupied and operated in full compliance with all requirements of law, including all zoning, land-use classifications, building, planning, fire and health by-laws (including asbestos and legionnaires disease), rules, regulations, orders and codes of all authorities, and that there are no outstanding requisitions.
No Pecuniary Interest	The valuer has no pecuniary interest in the subject property either past, present or prospective at the date of preparing this report and the opinion expressed is free of any bias in this regard.



Not to be reproduced without permission	Neither the whole nor any part of this valuation or any reference thereto may be included in any published documents, circular or statement, nor published in part or full in any way, without written approval of the form and context in which it may appear.
Other Taxation Implications	Herron Todd White are not taxation experts and we provide our valuation assessment and any associated sales, rental or feasibility analysis, independent of any consideration of income tax, capital gains tax or any other property related tax implications that may be associated directly or indirectly with the subject property.
Prudent Lending	This valuation is prepared on the assumption that the lender as referred to in the valuation report (and no other) may rely on the valuation for mortgage finance purposes and the lender has complied with its own lending guidelines as well as prudent finance industry lending practices, and has considered all prudent aspects of credit risk for any potential borrower, including the borrower's ability to service and repay any mortgage loan. Further, the valuation is prepared on the assumption that any such lender is providing mortgage financing at a conservative and prudent loan to value ratio. This clause (Prudent Lenders Clause) only applies if the lender is not a lender regulated by the Banking Act 1959 (Cth).
Structural Survey	This valuation report does not purport to be a site or structural survey of the land or improvements thereon, and any advice provided is not given in the capacity as an expert.
Termite/Pest Infestation	The subject property is located in an area considered susceptible to termite infestation. We are not pest inspectors / pest experts. Inspection of the subject improvements did not reveal any or revealed obvious visible termite infestation. However, this can only be confirmed by a certified pest control expert.
Town Planning	We assume that planning data obtained from the relevant Local Planning Authority is accurate. In the event that a Town Planning search or any other relevant Planning document is obtained and the information therein is later found to be materially different to the town planning information detailed within the valuation, we reserve the right to amend the valuation.
Photographs	All photographs in this report were taken by the Valuer at inspection.



Annexure 1 - Instruction Letter

Service Type	Rural Report
Address	166 MISSINGHAM Road DORROUGHBY NSW 2480 12202794
ValEx ID	
Ordered By	Paula Hilliard Email: Paula.P.Hilliard@nab.com.au Phone: +610266274817 Mobile:
Funder	National Australia Bank - NAB Email: doNotReply@corelogic.com.au Phone: 1300 720 645 Fax: 1300 305 578 Level 3
Client Agreement Level	
Client	National Australia Bank Limited - NAB-AGRIBUSINESS Email: doNotReply@corelogic.com.au Phone: 1300 720 645 Fax: 1300 305 578 Bank
Client Type	
Valuation Firm	Herron Todd White (NSW North Coast) Pty Ltd Email: admin.nnc@htw.com.au Phone: (02) 6621 8933 Paul O'Keeffe Email: admin.nnc@htw.com.au Phone: (02) 6621 8933 Mobile: 0409 763 573 Fax: (02) 6621 3554 Standard Mortgage
Valuer	
Valuation Type	
Order Date	Tue 3rd September 2019, 9:20am AEST
Inspected	26 Aug 2019
Ordered Via	Siebel
Banker Name	Paula Hilliard
Banker Email	
Banker ID	N132586
Customer Linked BUID	793756752
Loan Ref	1-2OHGHUZ
Other Ref	1-3GMMFB4
Borrower(s)	DISCOVERY MACADAMIA PTY LTD ACN 609 762 594 ATF DISCOVERY MACADAMIA UNIT TRUST
Requestor(s)	Cath Stanford Email: Cath.V.Stanford@nab.com.au \$3,400,000 (estimated)
Prices	
Transaction	Purchase
Purpose	Mortgage
Property Type	Specialised No 1
Previous Sale	N/A
Property Value	N/A
Complex Security	No
BICOE Stage	N/A
Communication	Communication Path - Valfirm to Client Indicates that the Valfirm can only liaise with the Client Where do I source documentation from? Client to Provide Ensure you add a Delay to request the Documentation



Contact(s)

alex young - Other

Mobile: 0433 889 949

Additional Instructions / Notes

Total area 115.95 ha, producing area 83.34 ha with 27,372 mature macadamia trees ranging 26-35 years and average production 2.62 t/ha (7.99 kg/tree). 152 Mgl water licence. Val previously requested, Herron Todd White quote accepted by customer. Please assign valuation to HTW for completion. Earlier val request cancelled due to NAB system restraints.

Avg Yield Last 3 Years: 2.62 t/ha

Other Land Usage: Macadamia plantation

Land Usage: Other

Nature of Crops: Macadamia



Annexure 2 - Photographs



Missingham Road entrance



Block 1



Machinery shed



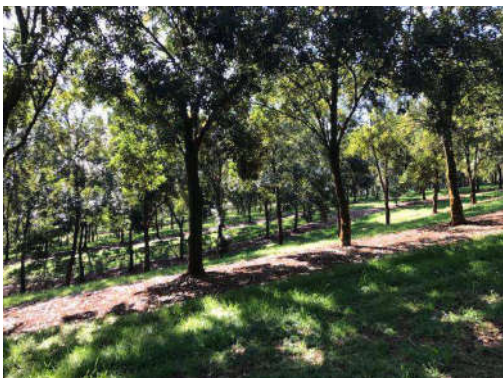
Pump shed



Block 2



Block 3



Block 3



Block 5





Block 13



Creek



Block 7



Block 13



Overshot dam



Creek



Overshot dam



Bywash dam





Block 14



Block 14



Block 14





LAND
REGISTRY
SERVICES

Title Search



NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 1/705780

SEARCH DATE	TIME	EDITION NO	DATE
12/9/2019	4:46 PM	11	9/9/2018

NO CERTIFICATE OF TITLE HAS ISSUED FOR THE CURRENT EDITION OF THIS FOLIO.
CONTROL OF THE RIGHT TO DEAL IS HELD BY NATIONAL AUSTRALIA BANK LIMITED.

LAND

LOT 1 IN DEPOSITED PLAN 705780
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
TITLE DIAGRAM DP705780

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (4 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 DP608095 EASEMENT FOR WATER SUPPLY AFFECTING THE PART OF THE LAND ABOVE DESCRIBED SHOWN SO BURDENED IN THE TITLE DIAGRAM
- 3 DP705780 EASEMENT FOR WATER SUPPLY 3 WIDE AFFECTING THE PART OF THE LAND ABOVE DESCRIBED SHOWN SO BURDENED IN THE TITLE DIAGRAM
- 4 AK683986 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

COM JB1579114

PRINTED ON 12/9/2019

* Any entries preceded by an asterisk do not appear on the current edition of the Certificate of Title. Warning: the information appearing under notations has not been formally recorded in the Register. InfoTrack an approved NSW Information Broker hereby certifies that the information contained in this document has been provided electronically by the Registrar General in accordance with Section 96B(2) of the Real Property Act 1900.

Copyright © Office of the Registrar-General 2019

Received: 12/09/2019 16:46:56



"LMR" 166 Missingham Road, Dorroughby, NSW 2480
JB1579114
Date of Valuation: 26 August 2019



LAND
REGISTRY
SERVICES

Title Search



NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 2/633794

SEARCH DATE	TIME	EDITION NO	DATE
12/9/2019	4:46 PM	7	9/9/2018

NO CERTIFICATE OF TITLE HAS ISSUED FOR THE CURRENT EDITION OF THIS FOLIO.
CONTROL OF THE RIGHT TO DEAL IS HELD BY NATIONAL AUSTRALIA BANK LIMITED.

LAND

LOT 2 IN DEPOSITED PLAN 633794
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
TITLE DIAGRAM DP633794

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (4 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 DP546660 RIGHT OF CARRIAGEWAY APPURTENANT TO THE PART(S) OF THE LAND SHOWN SO BENEFITTED IN THE TITLE DIAGRAM
- 3 V537241 EASEMENT FOR WATER SUPPLY AFFECTING THE PART OF THE LAND WITHIN DESCRIBED SHOWN 3 METRES WIDE AND 5 METRES WIDE IN PLAN WITH V537241
- 4 AK683986 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

COM JB1579114

PRINTED ON 12/9/2019

* Any entries preceded by an asterisk do not appear on the current edition of the Certificate of Title. Warning: the information appearing under notations has not been formally recorded in the Register. InfoTrack an approved NSW Information Broker hereby certifies that the information contained in this document has been provided electronically by the Registrar General in accordance with Section 96B(2) of the Real Property Act 1900.

Copyright © Office of the Registrar-General 2019

Received: 12/09/2019 16:46:55



"LMR" 166 Missingham Road, Dorroughby, NSW 2480
JB1579114
Date of Valuation: 26 August 2019



LAND
REGISTRY
SERVICES

Title Search



NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 3/583315

SEARCH DATE	TIME	EDITION NO	DATE
12/9/2019	4:46 PM	6	9/9/2018

NO CERTIFICATE OF TITLE HAS ISSUED FOR THE CURRENT EDITION OF THIS FOLIO.
CONTROL OF THE RIGHT TO DEAL IS HELD BY NATIONAL AUSTRALIA BANK LIMITED.

LAND

LOT 3 IN DEPOSITED PLAN 583315
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
TITLE DIAGRAM DP583315

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (3 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 DP546660 RIGHT OF CARRIAGEWAY APPURTENANT TO THE PART OF THE LAND ABOVE DESCRIBED FORMERLY CT VOL 11539 FOL 47
- 3 AK683986 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

COM JB1579114

PRINTED ON 12/9/2019

* Any entries preceded by an asterisk do not appear on the current edition of the Certificate of Title. Warning: the information appearing under notations has not been formally recorded in the Register. InfoTrack an approved NSW Information Broker hereby certifies that the information contained in this document has been provided electronically by the Registrar General in accordance with Section 96B(2) of the Real Property Act 1900.

Copyright © Office of the Registrar-General 2019

Received: 12/09/2019 16:46:55



"LMR" 166 Missingham Road, Dorroughby, NSW 2480
JB1579114
Date of Valuation: 26 August 2019



LAND
REGISTRY
SERVICES

Title Search



NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 5/705780

SEARCH DATE	TIME	EDITION NO	DATE
12/9/2019	4:46 PM	12	9/9/2018

NO CERTIFICATE OF TITLE HAS ISSUED FOR THE CURRENT EDITION OF THIS FOLIO.
CONTROL OF THE RIGHT TO DEAL IS HELD BY NATIONAL AUSTRALIA BANK LIMITED.

LAND

LOT 5 IN DEPOSITED PLAN 705780
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
TITLE DIAGRAM DP705780

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (4 NOTIFICATIONS)

- 1 RESERVATIONS AND CONDITIONS IN THE CROWN GRANT(S)
- 2 DP705780 EASEMENT FOR WATER SUPPLY 3 WIDE AFFECTING THE PART
OF THE LAND ABOVE DESCRIBED SHOWN SO BURDENED IN THE
TITLE DIAGRAM
- 3 3627208 EASEMENT FOR TRANSMISSION LINE AFFECTING THE PART
SHOWN SO BURDENED IN DP267021
AA430138 EASEMENT NOW VESTED IN COUNTRY ENERGY
AI758460 VARIATION OF EASEMENT 3627208 TERMS VARIED
- 4 AK683986 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

COM JB1579114

PRINTED ON 12/9/2019

* Any entries preceded by an asterisk do not appear on the current edition of the Certificate of Title. Warning: the information appearing under notations has not been formally recorded in the Register. InfoTrack an approved NSW Information Broker hereby certifies that the information contained in this document has been provided electronically by the Registrar General in accordance with Section 96B(2) of the Real Property Act 1900.

Copyright © Office of the Registrar-General 2019

Received: 12/09/2019 16:46:56



Annexure 4 – Property Plan



Annexure 5 – Orchard Details

Block	Variety	Planted	Age (years)	Area (ha)	Row width	Row width	Approx. tree No.	Approx. tree No./ha
1	246, 344, 800	1989	30	5.3	7	3.5	2,163	408
2	246, 344, 800	1987	32	5.5	7	3.5	2,245	408
3	246, 344, 660, 741	1983	36	7.6	7	3.5	3,102	408
4	344, 660, 246, 508	1984	35	1.15	7	3.5	469	408
5	246	1990	29	7.1	7	3.5	2,898	408
6	246, 344, 800	1990	29	5.6	7	3.5	2,286	408
7	246, 344, 800	1991	28	6.75	7	3.5	2,755	408
8	246, 344, 800	1990	29	2.1	7	3.5	857	408
9	246, 344, 800	1989	30	4.25	7	3.5	1,735	408
10	246, 344, 800, 508, 333	1990	29	9.8	7	3.5	4,000	408
11	246, 344, 800	1988	31	6.5	7	3.5	2,653	408
12	246, 344, 800	1990	29	2	7	3.5	816	408
13	246, 344, 800	1991	28	7.1	7	3.5	2,898	408
14	Removed			2.25	0	0	0	0
15	246, 344, 800	1988	31	7.15	7	3.5	2,918	408
16	246, 344, 800	1990	29	6.7	7	3.5	2,735	408
17	246, 344, 800	1990	29	1.25	7	3.5	510	408
				88.1			35,041	408



Annexure 6 - Insurance Summary

Building	Added Value	Area - Number	Repl Rate	Repl Value
Main Residence & tanks	\$110,000	107 sq.m		\$225,000
Septic tanks	\$20,000	0 sq.m.		\$40,000
Chemical shed	\$5,000	9 sq.m.		\$15,000
Machinery shed	\$21,000	222 sq.m.		\$44,400
Machinery shed	\$1,000	72 sq.m.		\$10,800
Old dairy	\$18,000	60 sq.m.		\$60,000
Pump sheds	\$5,000			\$20,000
Total	\$180,000			\$415,200
Rounded				\$415,000

Insurance Summary	Values
Replacement Cost	\$415,000
Professional Costs	\$20,000
Demolition	\$40,000
Loading	\$47,500
Total	\$522,500
Estimated Insurance Value	\$525,000

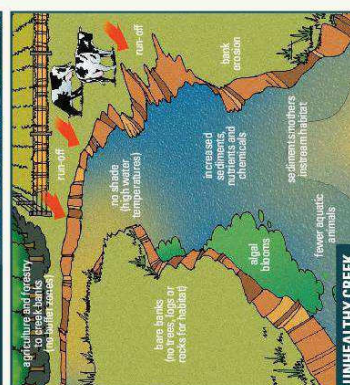


Managing macadamia farms to protect waterways is an integral part of good and management. It helps protect:

- the **health** of our waterways
• our local **drinking water supply**
land and vegetation adjacent to waterways.

and managers can protect drinking water quality by:

- reducing **soil erosion** and **controlling runoff**
- providing cover crops, **groundcovers** or mulch to maintain the orchard floor
- regenerating rainforest to provide a **buffer** for agricultural activities
- incorporating **Integrated Pest Management**



A catchment is an area of land that feeds rainwater into a creek, river or other water body such as a dam. If that water is used for drinking, the catchment is known as a drinking water catchment.

Rous County Council has three main functions: bulk water supply, weed biosecurity, and flood mitigation. It is the regional water supply authority supplying drinking water in bulk to the local government areas of Lismore (excluding Nimbin), Ballina (excluding Wardell), Byron (excluding Mullumbimby), and Richmond Valley (excluding Casino).

This water is sourced from three key drinking water catchments including the catchments of Rocky Creek Dam, Emigrant Creek Dam and the Wilsons River Source as well as a number of groundwater sources.

Rous County Council manages these drinking water catchments to ensure the quality of drinking water for over 100,000 local people.

Protecting our drinking water catchment is a responsibility Rous County Council shares with industry, businesses, landholders, communities and individuals. Every control measure counts and contributes to the quality of drinking water supplies in the long term.



For information about managing your farm to protect water quality including fencing, protecting or restoring vegetation and financial assistance opportunities available contact Hous County Council, your Local Land Services or Landcare.

Rous County Council

Level 4, 218/232 Molesworth Street,
Lismore NSW 2480
02 6623 3800
council@rous.nsw.gov.au
www.rous.nsw.gov.au



**to look after our drinking
water catchments**



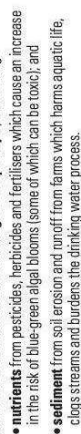
"Eventually the water that runs off a drinking water catchment area will be consumed by people. The activities of local landholders directly influence our community's drinking water supply."

1 Do you manage property in a drinking water catchment?

- A** If so, you have a duty of care to protect water quality.
- Q** Do you want to manage your macadamia farm to protect drinking water?
- A** If so, financial assistance opportunities may be available.

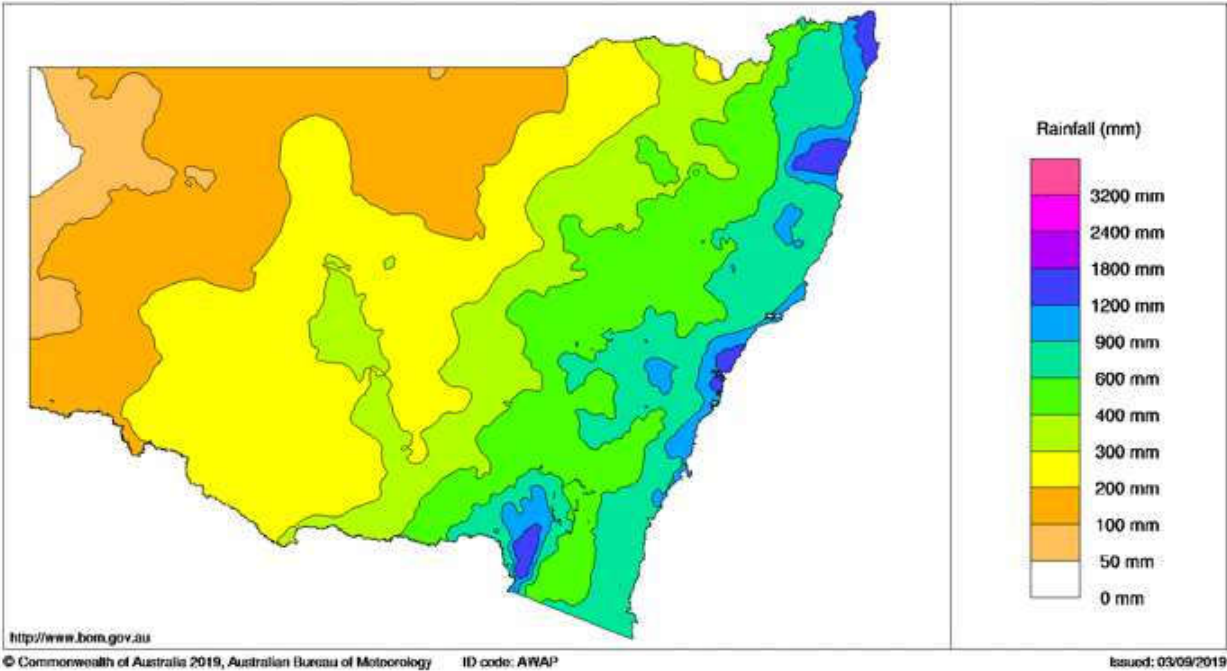
- organic matter
- weed suppression
- increased water infiltration
- reduced fertiliser loss
- nitrogen fixation as well as

- filter and trap chemicals and pesticides.



Annexure 8 – NSW Rainfall Map

New South Wales Rainfall totals (mm) 1 September 2018 to 31 August 2019
Australian Bureau of Meteorology



Annexure 9 – NSW Contaminated Land Search

The EPA Record of Notices only if the EPA has issued a regulatory notice in relation to the site under the Contaminated Land Management Act 1997.

The EPA determines whether contamination is significant enough to warrant regulation under the CLM Act. In making this decision, it considers a range of factors, including those listed in section 12 of the CLM Act.



Your environment

Reporting and incidents

Licensing and regulation

Working together

Contaminated land
Management of contaminated land
Consultants and site auditor scheme
Underground petroleum storage systems
Guidelines under the CLM Act
NEPM amendment
Further guidance
Record of notices
About the record
Search the record
Search tips
Disclaimer
List of NSW contaminated sites notified to EPA
Frequently asked questions

[Home](#) [Contaminated land](#) [Record of notices](#)
Search results
Your search for: LGA: Lismore City Council
Matched 19 notices relating to 8 sites.
[Search Again](#) [Refine Search](#)

Suburb	Address	Site Name	Notices related to this site
GOONELLABAH	Bruxner HIGHWAY	Dip 4885 McDermott's	1 current
GOONELLABAH	161 Invercauld ROAD	Former Invercauld Road Cattle Dip	3 former
LISMORE	Cnr John Street & Keen STREET	Lismore Gasworks	6 former
LISMORE HEIGHTS	22 New Ballina ROAD	Beardow Street Road Reserve	1 current
LISMORE HEIGHTS	426 Ballina ROAD	Coles Express Lismore Heights	2 current
SOUTH LISMORE	Canlaba STREET	Lismore Airport	3 former
TERANIA CREEK	Wallace ROAD	Former Izzards Cattle Tick Dip	2 former
TUNCESTER	13 Rifle Range ROAD	Asbestos Waste Burial Site	1 current

Page 1 of 1

13 September 2019

Source NSW EPA

